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01 — A NEXT10 LABS REPORT

Following the Value

TikTok Shop and the Unbundling of Beauty Retail

For founders and leadership teams deciding how to invest in TikTok Shop.



BY

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Six chapters, seven growth playbooks and a legal appendix on where the boundaries sit when brands and retailers sell side by side.

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Foreword

Why we wrote this report

Beauty retail is changing shape. Product discovery, advice and purchase, which once sat together in a store, are spreading across creators, social platforms, marketplaces and retailers, with AI agents now entering the buying journey.

This report began with commercial curiosity. TikTok Shop ("Shop") is growing fast while the wider retail market struggles. Yet the headlines and league tables tell us who is selling and how quickly, not what it costs to get there or how much value the business keeps. We wanted to understand what it really takes to win.

Shop shows how fast growth can now happen. Two skincare brands that only began selling on the platform in the UK in late 2025 were among its largest beauty Shops by Q3 2026. That growth is attracting more competition. Even established retailers are opening Shops of their own.

These changes create real opportunity, and a harder question. When a customer can discover a product in one place and buy it in another, the value can land across a brand's Shop, its website, Amazon or a retailer's till. Each business and team only sees part of the picture. Few have an end-to-end view of what the activity creating that value is worth, or how much capital it deserves. That blind spot is becoming harder to afford.

Answering that question means reconciling three perspectives that often pull in different directions:

- **Marketing and ecommerce teams**, supported by agencies, setting the strategy and running the day-to-day activity.
- **Data and measurement specialists**, assessing its impact.
- **Business leaders**, making the final call on where to invest.

Retail partners hold another part of the evidence. Each works to its own numbers and targets.

Much of the industry conversation has focused on the competitive reset in beauty retail, the growth TikTok Shop offers, and the need to connect commerce across channels. Less attention has gone to what management should do when the numbers are incomplete or misleading. A business can hit its channel targets, with every team making sensible decisions, and still put capital in the wrong place.

"At Next10 Labs, we've made that end-to-end view our work, independent and evidence-led."

This report draws on industry interviews and working sessions, independently commissioned research, real business cases, and proprietary commercial diagnostics applied to anonymised TikTok Shop data.[1]

Following the Value sets out where value is created, lost and frequently misread, and what founders and leadership teams can do about it now, with the evidence they already hold.

Nnenna Onuba, Founder, Next10 Labs

WHERE TO START

Short of time? Start with the practical guide, *Before you invest another pound in TikTok Shop* (pp.53—54).

01 Deciding whether to launch or scale TikTok Shop?

Chapter 6.

02 Running a Shop with strong sales but uncertain profitability?

Section 2.3, Playbook 7 and Section 6.4.

03 Funding TikTok while the value appears elsewhere?

Sections 2.2, 5.2 and 5.5.

04 Selling alongside retail partners on TikTok Shop?

Chapter 4 and the legal appendix.

05 Trying to grow without simply outspending competitors?

Chapter 3: The Growth Playbooks.

Executive summary

TikTok Shop has become too big for any beauty business to ignore, and too easy to misread

It is the UK's second-largest online beauty retailer (NielsenIQ), with an estimated $791 million of beauty and personal care sales in the twelve months to September 2026, up 81% (Charm.io). Its product mix is moving upmarket, its shoppers extend beyond Gen Z, and its growth is still accelerating.

$791m

Estimated UK beauty and personal care sales on TikTok Shop, twelve months to September 2026, up 81% (Charm.io).

Yet the value it creates is harder to see than its sales.

Finding 1

Beauty retail is unbundling, and TikTok Shop is where it shows first

Retailers once brought discovery, advice and purchase together in one place. Now a creator may introduce a product, a Meta ad may reinforce it, the brand may fund both, and a retailer, marketplace or another seller may record the sale. Who creates demand, who pays for it and who records the sale are increasingly different parties.

TikTok Shop accelerates this shift. Its algorithm shows content based on what people watch, not whom they follow, so newcomers can reach the top fast. Medicube UK made its first Shop sale in October 2025 and generated an estimated $52 million in the twelve months to September 2026 (Charm.io). Established retailers including Boots, QVC and LOOKFANTASTIC now sell there too. Behind the viral hits is an industrial-scale selling machine requiring substantial investment in creators and paid support. In the US, average sales per active beauty product video fell by nearly 75% over two years (Charm.io). Each active video is generating less sales value than before, a sign of a more competitive landscape.

Finding 2

Strong Shop numbers can hide losses. Weak ones can hide growth

TikTok Shop draws on several cost pools: paid ads, creator commissions, samples, discounts and platform fees, before fulfilment and the product itself. In many businesses, these sit in different budgets that are never reconciled into one view. Its benefits can land on the brand's website, on Amazon or in a retailer's till. Each team sees part of the picture.

That creates two mirror-image blind spots. **GhostGMV** is reported Shop sales that deliver less value than they appear to, because orders lose money once full costs are counted, or because sales would have happened anyway. One personal care bestseller we analysed generated $435,000 in 30 days at 3.9x return on ad spend, yet lost $0.15 on every order before fixed overheads.

2.2x → 4.1x

Modelled TikTok advertising return for one UK retailer outside beauty, once store sales were included.

Halo is the reverse: incremental value TikTok creates that is recorded elsewhere. For one UK retailer outside beauty, TikTok advertising's modelled return rose from 2.2x to 4.1x once store sales were included. A subsequent geographic experiment produced results within the model's estimated range.

Each team can make a sensible decision against the numbers it owns, while the business as a whole puts capital in the wrong place. Repeated over time, those decisions can shift investment away from creating demand and towards capturing what already exists. Reported returns may improve even as the business underinvests in future growth.

Finding 3

The strongest brands use TikTok Shop to answer business questions, not just to sell

TikTok Shop can reach customers the core business struggles to attract: QVC reports that 59% of shoppers buying through its TikTok livestreams were new to the retailer. It can test products before committing retail stock, prove that a harder proposition can sell, or show what should travel to a new market.

Even the offer is a test. The bestseller that lost money as a single product generated positive contribution when sold in multipacks. The product had not changed. The economics of the offer had. The lasting advantage comes from carrying what each launch teaches into the next decision.

Finding 4

Brands and retailers now share the platform, but not the same economics

When a brand and retailer sell the same products on TikTok Shop, the brand's creators can drive sales that land in the retailer's Shop. The brand's numbers fall while its activity keeps working. The till has moved. A retailer's

uplift, meanwhile, may be new demand, displaced demand or stock that would have sold anyway.

Better evidence can strengthen decisions about ranging, stock and joint business plans. Some brands are already moving trade funding towards TikTok. But proving value does not settle who pays for it. Moving a brand's budget from a retailer's media programme into TikTok can lift the retailer's product sales while reducing its higher-margin media income. The retailer may sell more products and still make less money.

These commercial discussions also carry legal risk. Because brands and retailers compete on the platform, information-sharing and coordination must respect competition law. The legal appendix, contributed by Gabriela da Costa of K&L Gates, sets out the relevant boundaries.

Finding 5

Measurement should change the next investment, not just explain the last one

Good measurement looks forward. In the retailer case, marketing mix modelling forecast that quadrupling TikTok advertising spend could lift estimated return from 4.1x to 6.3x, while Google Performance Max appeared closer to saturation. The model offered a basis for comparing future investment, but its predictions still needed testing against actual outcomes.

Many businesses have more useful data than they make use of. Start with evidence already available. Shop, website and retailer sales by product can be read against the timing of TikTok activity and followed beyond the campaign week. Before the Black Friday and Christmas trading period, establish the baseline, decide what the business needs to learn and agree what evidence will justify the next commitment.

Give someone responsibility for the whole return, and the authority to act. A DTC team may fund TikTok activity while retail or Amazon captures the benefit. Without someone able to judge value across the business, even proven returns can remain unfunded.

Finding 6

A good TikTok channel plan can still be the wrong business strategy

That is what happens when a channel investment is judged by the success of the channel rather than the needs of the business.

One beauty founder faced precisely that choice: an agency plan involving a year of support, hundreds of samples each month and a forecast five-figure loss before the Shop reached scale. Would we approve it? **Not as written.**

The plan answered how to build a successful Shop. The business first needed to establish which customers to prioritise and what would make them choose the brand. Its forecast assumed nearly £4 of sales for every £1 of advertising yet still lost money on every order. Profitability depended partly on removing agency fees. A second model of the proposed launch showed a five-figure profit, driven by different assumptions about bundles, advertising returns and operating costs.

The answer is to stage the capital. Decide what TikTok is being paid to do, test the assumptions that determine the return, and agree before spending what would justify the next commitment. The first stage should buy a decision the business needs to make anyway, even if the Shop never reaches scale.

The same discipline applies to an operating Shop. Looking at margin, sales velocity and materiality together can reveal bestsellers losing money alongside more profitable offers that have yet to scale. The next pound should go where the evidence supports further testing, investment or redesign.

The first investment should not approve a bigger budget in advance. It should earn the right to one.

Conclusion

Follow the value beyond the channel

TikTok Shop makes the challenge unusually visible today. As AI agents increasingly shape what shoppers consider and buy, that challenge will extend beyond any single platform.

The businesses that build an advantage will be those that can follow the value beyond the channel recording the sale, recognise opportunities others miss, and put capital where it earns the greatest return for the business as a whole.

NEXT10 LABS

Your next growth opportunity may already be sitting in your products, customers or spending.

Next10 Labs works alongside founders and leadership teams to find it, challenge the assumptions behind investment decisions and build the capability within your teams to act on what the evidence reveals.

Bring us the decision you're facing. next10labs.ai · hello@next10labs.ai

CHAPTER 01

The Market and the Machine

TikTok Shop is already a major part of UK beauty retail, growing fast and changing who leads it. The opportunity is considerable. So is the cost of getting it wrong.

1.1 TikTok Shop has become a major beauty retailer and is growing fast

1.2 The beauty shelf is being redrawn

1.3 Behind the viral hit is an industrial-scale selling machine

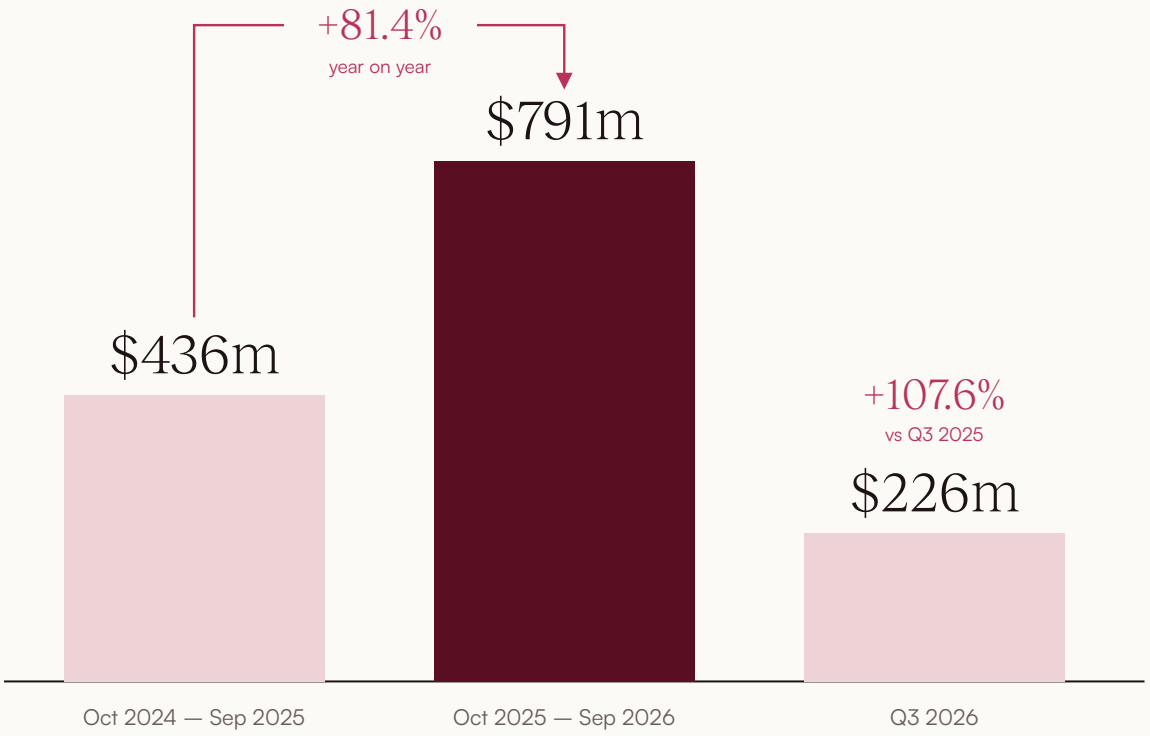
EXHIBIT 1.1

TikTok Shop is a major UK beauty retailer

Twelve-month beauty sales and Q3 momentum are distinct measures, not comparable periods.

UK TIKTOK SHOP BEAUTY SALES

Charm.io, US$ millions



UK ONLINE BEAUTY RANKING

NielsenIQ, 2025

1	Amazon
2	TikTok Shop
3	Boots
4	LOOKFANTASTIC
5	eBay

Up from third in 2024. TikTok ranks Shop fourth among UK beauty retailers overall, online and offline.

Source: Charm.io UK TikTok Shop GMV estimates, twelve months to September 2026; NielsenIQ online beauty ranking, 2025.

1.1

TikTok Shop has become a major beauty retailer and is growing fast

TikTok Shop is now the UK's fourth-largest beauty retailer overall, after its beauty sales grew 60% in 2025 according to TikTok. NielsenIQ ranks it the UK's second-largest online beauty retailer in 2025, up from third in 2024, behind Amazon and ahead of Boots, LOOKFANTASTIC and eBay.

$3.86 billion of goods were sold on UK TikTok Shop across all categories in the twelve months to September 2026, up 78.1% year on year. Beauty and personal care generated $791.2 million, growing 81.4%. In Q3 2026, beauty sales reached $226.2 million, up 107.6% on the same quarter the previous year. (Exhibit 1.1)

$3.86bn

UK Shop GMV in the 12 months to 30 September 2026, up 78.1% year on year.

Global Shop GMV reached an estimated $50.3 billion in the first half of 2026, up 92% year on year, with the US its largest market at $11.8 billion (Momentum Works and Tabcut, 2026).

It is now too big for any serious beauty business selling in the UK to ignore.

1.2

The beauty shelf is being redrawn: who sells, what sells and who buys are all changing

New shops are reaching the top, fast

The brands leading on Shop are often not the ones leading beauty elsewhere. In April 2026, the 50 biggest shops across its five main European markets were mostly TikTok-native and challenger brands, with few established mass-market leaders among them.

The speed at which new shops can establish themselves is striking. Medicube UK and Dr.Melaxin UK recorded their first TikTok Shop sales in October and November 2025 respectively. In the twelve months to September 2026, they generated an estimated $52 million and $36.1 million in GMV. By Q3 2026, Medicube had become the UK's largest beauty shop, ahead of P.Louise. (Exhibit 1.2)

That is possible because TikTok's algorithm shows people content based on what they watch, not who they follow. A product nobody had heard of can reach millions of viewers within days. But their rise reflects more than a viral moment. In skincare, shoppers are moving towards products that deliver visible results with clinical backing, at well below prestige prices. Products whose benefits can be demonstrated or explained on camera are particularly well suited to creator-led selling.

Established retailers are opening their own TikTok shops

LOOKFANTASTIC and QVC were early. Boots launched on 28 September 2026, starting with a selected No7 range. In the US, Sally Beauty and Ulta opened shops in March 2026, and Sephora began a pilot in September.

A brand's retail partners can now sell alongside it on the same platform. Chapter 4 examines what that changes. (Exhibit 1.3)

The UK isn't simply a smaller US market

In the US, skincare is already the largest beauty category on TikTok Shop, generating $909.3 million in the twelve months to September 2026, ahead of makeup at $764.3 million. In the UK, makeup remains narrowly ahead, although skincare has nearly tripled in a year.

Growth rates differ too. UK skincare grew 176.8% year on year, against 95.5% in the US. Personal care appliances grew 138.1% in the UK, compared with 22.2% in the US. Yet haircare grew by around 90% in both markets. (Exhibit 1.4)

The category mix is moving upmarket

In the twelve weeks to 20 September 2026, UK beauty and personal care sales on Shop grew 20% in value compared with the previous twelve weeks, while units were broadly flat. In makeup, value rose 26% even as units fell 5%. Circana links the divergence to more premium brands entering the platform. (Exhibit 1.5)

The shopper is broader than the Gen Z stereotype

Shop is often called a Gen Z channel. In UK beauty, Gen Z's share of spend on Shop is 16% above its share of beauty spend overall, and Gen X's is 14% above (NielsenIQ). Across the five markets, 27% of luxury beauty buyers also bought beauty on Shop in the past year. (Exhibit 1.6)

EXHIBIT 1.2

New entrants reached the top of UK TikTok Shop within a year

Top ten UK beauty shops by estimated GMV, for the latest quarter and the latest twelve months. US dollars.

Q3 2026

July — September 2026

#	SHOP	GMV (US$M)
1	medicube UK NEW	$24.1m
2	P.Louise	$22.5m
3	Dr.Melaxin UK NEW	$10.6m
4	BellaVita UK	$6.5m
5	Wonderskin UK	$4.3m
6	Made by Mitchell	$4.1m
7	Bare Anatomy	$3.1m
8	Remington UK	$3.1m
9	L'Oréal Paris UK	$2.7m
10	Philips UKI	$2.5m

Twelve months to September 2026

October 2025 — September 2026

#	SHOP	GMV (US$M)
1	P.Louise	$73.5m
2	medicube UK NEW	$52.0m
3	Dr.Melaxin UK NEW	$36.1m
4	Wonderskin UK	$17.1m
5	BellaVita UK	$16.1m
6	Made by Mitchell	$14.8m
7	L'Oréal Paris UK	$11.8m
8	The Ordinary UK	$10.6m
9	Shark UK	$10.0m
10	Nature Spell	$9.9m

Note: Revenue is estimated gross merchandise value (GMV). The top ten shops generated $251.9m (31.8% of total UK beauty sales of $791.2m) in the twelve months to September 2026. medicube UK and Dr.Melaxin UK made their first TikTok Shop sales in October and November 2025 respectively. **Source:** Charm.io.

EXHIBIT 1.3

Selected beauty retailers entering TikTok Shop

Publicly traceable entry points or first visible selling moments.

WAVE	RETAILER	MARKET	ENTRY DATE	STATUS / NOTE
EARLY MOVER	LOOKFANTASTIC	UK	Nov 2021	Featured in TikTok UK's first Black Friday in-app shopping event
MARCH 2025 WAVE	QVC	UK	Mar 2025	Launched on TikTok Shop; live-shopping specialist
2026 RETAIL WAVE	Sally Beauty	US	10 Mar 2026	Launched with curated assortment; expansion planned
	Ulta Beauty	US	17 Mar 2026	Official storefront launch
	Sephora	US	19 Sep 2026	Debut via Sephora Drop Shop pilot
	Boots	UK	28 Sep 2026	Launching with initial No7 assortment

Source: TikTok Newsroom; Sally Beauty Holdings press release; Sephora Newsroom; Boots Newsroom; TikTok Shop / company posts. Selected list, not exhaustive.

EXHIBIT 1.4

The beauty categories driving growth differ between the UK and US

Estimated TikTok Shop GMV, October 2025 — September 2026, with year-on-year change. US dollars.

Skincare is the largest category in the US; in the UK, makeup remains narrowly ahead.

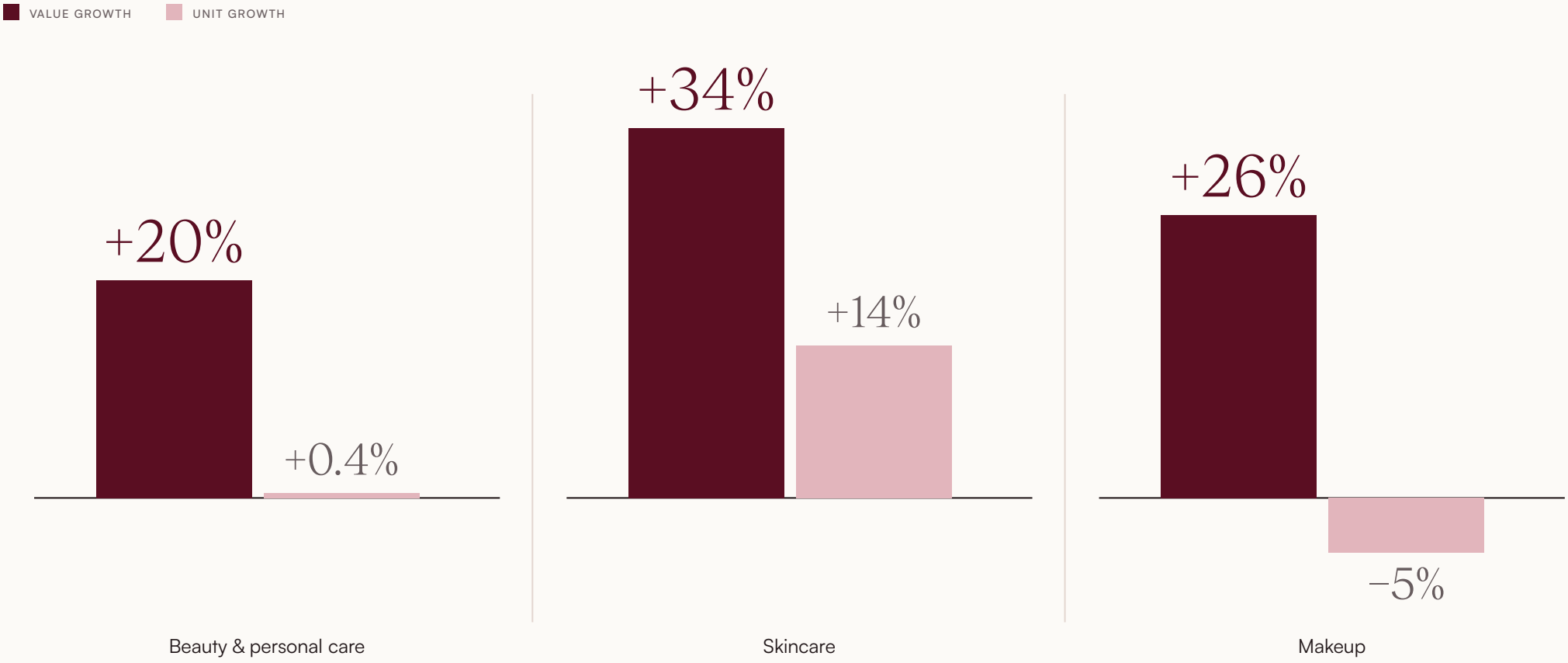
Category	UK GMV (US$M)	UK SHARE OF BEAUTY	UK YOY GROWTH	US GMV (US$M)	US SHARE OF BEAUTY	US YOY GROWTH
Skincare	$197.3m	24.9%	+176.8%	$909.3m	23.3%	+95.5%
Makeup	$204.1m	25.8%	+38.0%	$764.3m	19.6%	+54.2%
Personal care appliances	$101.7m	12.9%	+138.1%	$426.2m	10.9%	+22.2%
Fragrance	$90.3m	11.4%	+62.6%	$538.1m	13.8%	+63.4%
Haircare & styling	$73.6m	9.3%	+89.3%	$442.9m	11.3%	+93.6%
Bath & body care	$72.9m	9.2%	+77.2%	$427.0m	10.9%	+99.4%
Total beauty	$791.2m	100.0%	+81.4%	$3.91bn	100.0%	+67.3%

Note: Shares are of total beauty sales in each market. Selected categories do not sum to total beauty. **Source:** Charm.io proprietary TikTok Shop data, October 2024 — September 2026. Estimated GMV.

EXHIBIT 1.5

Value is growing faster than volume

UK TikTok Shop beauty: latest 12 weeks vs previous 12 weeks.

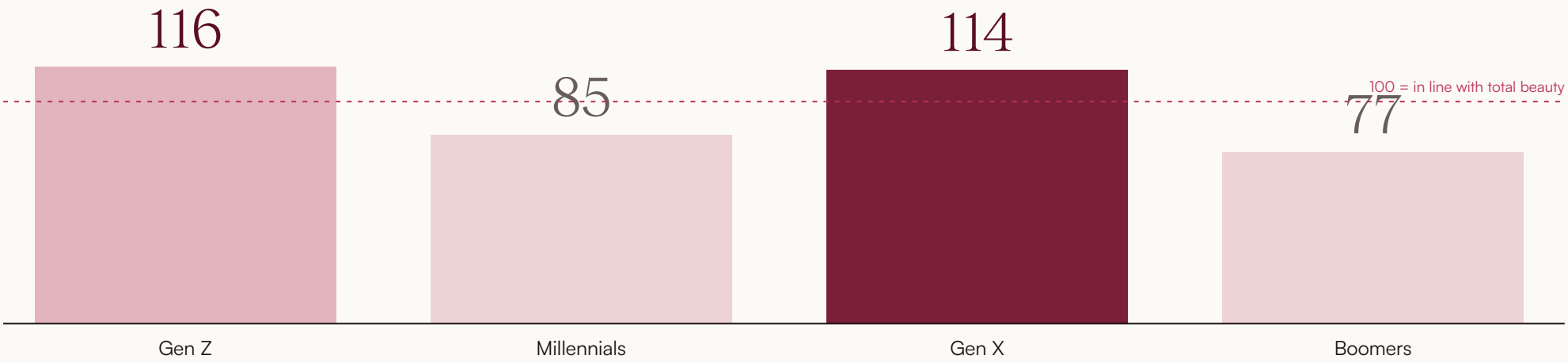


Source: Circana UK Social Commerce Panel, 12 weeks ending 20 September 2026 vs previous 12 weeks.

EXHIBIT 1.6

A multi-generational shopper base

Index: TikTok Shop vs total beauty. Share of value spend by generation, United Kingdom. 100 = in line.



Gen X over-indexes in every market measured

UK	SPAIN	GERMANY	FRANCE	ITALY
114	142	109	155	132

Source: NIQ Digital Purchases. Index: TikTok Shop vs total beauty, share of value spend by generation. Latest 52 weeks ending 29 March 2026.

EXHIBIT 1.7

Four shoppable channels powered by one algorithm

Each sales channel plays a different role across the funnel: discovery, education, conversion and retention.

01



Shoppable video

DISCOVERY

Short videos with a product link embedded directly. Buyers tap and check out instantly.

- Native to the For You feed
- Drives most UK sales
- Brand- and affiliate-led

02



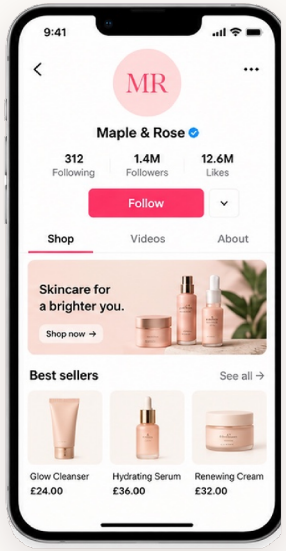
LIVE shopping

CONVERSION + TRUST

Real-time livestream with pinned products. Hosts demonstrate and convert in the moment.

- Highest-AOV channel
- Drives urgency and community
- Best for launches and drops

03



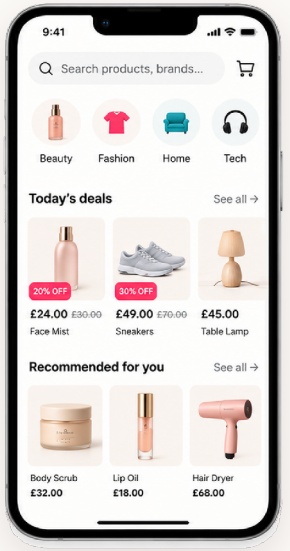
Showcase

BRAND DESTINATION

A brand-dedicated mini-storefront. Buyers browse the full range on one page.

- Always-on shop window
- Owned brand surface
- Drives repeat purchase

04



Shop tab

INTENT-LED DISCOVERY

Dedicated shopping surface. Search, browse and discover products at scale.

- Algorithmic recommendations
- Search-led intent
- Campaign placements live here

Source: TikTok Shop. Screens are illustrative mock-ups, not captures of real listings.

1.3

Behind the viral hit is an industrial-scale selling machine

How TikTok Shop works

To a shopper, TikTok Shop looks like one place. Behind it are four ways to sell: a shoppable video, a LIVE, a Showcase or the Shop tab. Among the UK's 50 biggest shops in April 2026, short video brought in nearly two-thirds of revenue (65.9%) and LIVE about a quarter (26.0%).[2]

TikTok Shop is entertainment first, so its sales run on a vast network of creators, not a handful of celebrities. The average US shop selling over $10 million a year works with 17,000 of them, and in the UK the ten biggest creators accounted for just 4% of video revenue linked to beauty products in the year to September 2026.[3] Brands send samples to creators, who sell as affiliates and earn commission on each sale. Together, free product and commission are a significant cost for any brand on TikTok Shop.

One viral hit is not a business. Winning on TikTok Shop requires sustained investment in creators, sampling, commissions and paid support. Operators we interviewed describe significant costs and growing competitive pressure. In the US, active beauty product videos grew 76% in a year, while average quarterly sales per active video fell from $379 to $96 over two years. The average active video is generating less sales value than before, a sign of a more competitive landscape.[4]

The flywheel starts with something worth selling: a product that demonstrates well, an offer worth talking about, or both. That gives shoppers a reason to buy and creators something to sell.

The flywheel is also where brands most often go wrong, in two ways. First, the assortment: they sample products creators can't sell. Test the product and offer before scaling samples. Second, the follow-through: they treat sampling as a numbers game rather than a funnel. One practitioner's rule of thumb: message 1,000 creators, and perhaps two or three become consistent sellers. Most of a shop's sales come from that small core, so the return depends on keeping them posting. That means rewarding them, following up and staying close. How well a brand does that shows up in its results and margins.

What this means

TikTok Shop is already a major part of UK beauty retail, growing fast and changing who leads it. The opportunity is considerable. So is the cost of getting it wrong.

Yet the growth is easier to see than the value it creates. That is where the next chapter begins.



EXHIBIT 1.8

Anatomy of a $10m+ TikTok Shop

What the average US seller with $10m+ in GMV looks like, September 2025 to August 2026.

ANNUAL GMV

$22.4m

Average per shop over 12 months

ITEMS SOLD

697.7k

Units sold per shop

AVERAGE SELLING PRICE

$32.06

Average unit price

CREATORS

17.0k

Top creator drives just 5.0% of GMV

VIDEOS

105.6k

6.2 videos per creator

AD SPEND

$4.0m

Equal to 17.9% of GMV

Source: Charm.io. Analysis of 245 US TikTok Shops with $10m+ GMV, September 2025 to August 2026.

EXHIBIT 1.9

TikTok Shop works as a flywheel

A product and offer worth selling start a reinforcing cycle of distribution, sales and learning.

WHERE BRANDS MOST OFTEN GO WRONG

01 The assortment

Sampling products creators can't sell. Test the product and offer before scaling samples.

02 The follow-through

Treating sampling as a numbers game rather than a funnel. Reward, follow up and stay close.

1,000 → 2-3

Creators messaged, to consistent sellers: one practitioner's rule of thumb. Most sales come from that small core.



Source: Next10 Labs framework, informed by industry interviews.

CHAPTER 02

Bigger Than the Channel

A £50,000 TikTok Shop test that appears to work can quickly become a £500,000 decision, then a £5 million one.

2.1 The till that records the sale is not always what made the customer buy

2.2 The full cost of TikTok Shop sits across several budgets

2.3 The Shop number can overstate value as easily as it understates it

2.4 The usual reports can't settle it either

2.5 How sensible decisions add up to the wrong answer

EXHIBIT 2.1

Discovery, advice and purchase no longer happen in one place.

Discovery, advice and purchase, which once sat together in a store, are now spread across creators, platforms, marketplaces and retailers, including AI assistants.



Source: Adapted from Front Row, in BoF, Beauty Retail in the Age of Connected Commerce (May 2026). Illustrative customer journey.

The faster the bet grows, the more it costs to read the numbers wrong.

And they are easy to read wrong. TikTok Shop is usually seen as a new channel. What it has really done is normalise a customer journey that was already emerging, one that zigzags between TikTok, retailers, marketplaces and the brand's own site. So what it does to the business, and what it costs, go well beyond the channel. Yet many businesses are still organised, measured and held accountable channel by channel.

This chapter shows how the numbers mislead in both directions, at two levels: when deciding how much to invest in TikTok Shop, and when deciding how to spend it. And it shows what happens when a business keeps acting on them.

THE VISUAL ARGUMENT

2.1 The customer journey

2.2 Where the costs sit

2.1

The till that records the sale is not always what made the customer buy

Someone can watch a creator demonstrate a product they have never heard of and buy it in the same app, within minutes. But the customer journey does not necessarily begin or end there.

One customer watches that video, does nothing, and buys the product in Sephora a week later. Another first sees the brand on TikTok, then in a Meta ad, reads about it in a magazine, and finally buys it on Amazon.

Every touchpoint played a part, and every one cost the brand money.

But Amazon records the sale. And if the brand is bidding on search for its own name, that ad claims the sale too. Attribution can only credit what it can see. Neither Amazon nor the search ad can see the video, and a sale in a store may never be linked back at all.

The TikTok Shop number tells you where a sale was recorded. It doesn't tell you what made the customer buy, or what it cost.

SEE EXHIBIT 2.1 / PREVIOUS PAGE

2.2

The full cost of TikTok Shop sits across several budgets

TikTok Shop activity can draw on several cost pools: paid ads, creator fees and affiliate commissions, free product sampling, discounts, new product launches and platform fees. Platform-funded discounts and ad credits can flatter the numbers until they are withdrawn. And that's before fulfilment, returns, the tools to run it and the product itself. In many businesses, these costs come out of different budgets that aren't reconciled into one view.

Some costs can stack on the same sale. A creator may earn commission while the brand also pays to amplify their video. (Exhibit 2.2)

Even the specialist tools don't add up all those costs. Neither TikTok Shop's reporting nor the software built around it reconcile every cost into a true P&L for the channel. Brands have to build that view themselves.

How far apart those budgets sit depends on the business. In a founder-led brand, one person may set the strategy, run the activity, read the results, and decide both how much to invest and where to spend it. Decisions are quick, but the view can still be split across agencies, platforms and retailers.

In a larger business, those jobs sit with different people, who may not define success the same way.

Take one global beauty business we interviewed. The setup was sophisticated: a board sponsor, a central measurement team running holdout tests and marketing mix modelling, a performance lead working with the agency on day-to-day execution, market teams holding the P&L and finance setting the budget. Deciding how much to put behind TikTok Shop meant aligning five to ten people.

EXHIBIT 2.2

One TikTok Shop programme can draw on several budgets

The exact mix varies by brand. These are common sources.

WHAT'S BEING PAID FOR	WHERE THE MONEY OFTEN COMES FROM
Paid media Shop ads and paid amplification	Media or performance budget
Creators and affiliates Creator commissions and affiliate fees	Social, influencer or ecommerce budget
Product seeding Free product and samples for creators	PR or brand budget
Discounts and promotions Vouchers, discounting and creator support	Trade, ecommerce or sales budget
NPD and launch activity New product development and launch support	NPD, innovation or commercial budget
Platform fees and fulfilment TikTok Shop commission, payment fees and fulfilment costs	Cost of sale

Source: Next10 Labs.

Yet in the P&L, TikTok Shop was still judged as a small DTC line, on only the sales it recorded itself. If it drives sales in retail or on Amazon, that value lands in another team's numbers. A business can have sophisticated measurement and still make the investment decision against only part of the return.

Each call makes sense on the numbers in front of it. The problem shows up at budget time. Cut one line, such as creator sampling, and sales it helped create elsewhere in the business may fall, with no obvious link back to the cut.

PUBLIC CASE

Ouai: the website that nearly lost its budget

As Ouai expanded into retail, its acquisition costs rose and its website converted fewer visitors. Judged on DTC performance alone, the website looked like a candidate for cuts, and Ouai says it would have cut paid media to improve DTC profitability. But Ouai found customers were using the website to research products before buying in retail or on Amazon. Ouai stopped judging each channel on its own sales and set one integrated target. Its DTC revenue has since grown 8% year on year.

Source: BoF with Front Row, Beauty Retail in the Age of Connected Commerce (May 2026).

FOLLOW THE EVIDENCE

2.3 The bestseller economics

2.4 GhostGMV and halo

2.5 What the reports miss

Exhibits 2.3—2.5 follow on the next pages.

2.3

The Shop number can overstate value as easily as it understates it

The same TikTok Shop sales figure can describe very different outcomes for the business. It can be genuinely new growth, worth less than it looks, or worth more.

Take one personal care brand we analysed. Its bestselling product generated $435,000 in 30 days, with $3.90 in sales for every $1 spent on ads.

Once every cost of the sale was counted, it lost $0.15 on every order, before any fixed overheads. Contribution is what remains from each sale after paying to make the product, sell it and deliver it. (Exhibit 2.3)

There can be a perfectly good reason to lose money on a first sale. The problem is not knowing that you are doing it, or what has to happen next for that decision to make economic sense.

That blind spot has a name: **GhostGMV**, sales that appear in the Shop's GMV but don't deliver equivalent value to the business.

Losing money on each order is one way it happens. The other is quieter: sales that would have happened anyway. New-to-Shop is not necessarily new-to-brand. Some of those sales may simply have moved from a more profitable route to a less profitable one, cannibalising existing sales rather than generating new growth.

Halo is the mirror image: the value the Shop number misses. These are incremental sales TikTok helps create that are recorded elsewhere in the business, exactly the value a business judging TikTok Shop as a DTC line can miss.

A brand can have both GhostGMV and halo at once, in different products, and the headline figure hides both. (Exhibit 2.4)

Chapter 3 shows how the personal care brand turned its bestseller around without changing the product.

2.4

The usual reports can't settle it either

If the Shop number can't settle the question on its own, the natural next step is the other reports leaders rely on.

None of these reports is wrong. But none gives the full picture, and read side by side, they can tell four different stories about the same quarter. Two things make it harder still. (Exhibit 2.5)

First, platforms mark their own work, in their own favour. TikTok's automated advertising product, GMV Max, shows how: it credits sales of promoted products to the campaign, including orders from organic and affiliate activity, whether or not the customer saw an ad. So its reported return is not the return on the ads.

Second, all of these reports are often read one period at a time. Much of what TikTok does builds over months: more people searching for the brand, creators who already know the product, customers who recognise it the next time they see it on a shelf. A monthly report sees the sale. It does not see what built up behind it.

Chapter 5 shows what a business can do about both, with the evidence it already holds.

EXHIBIT 2.3

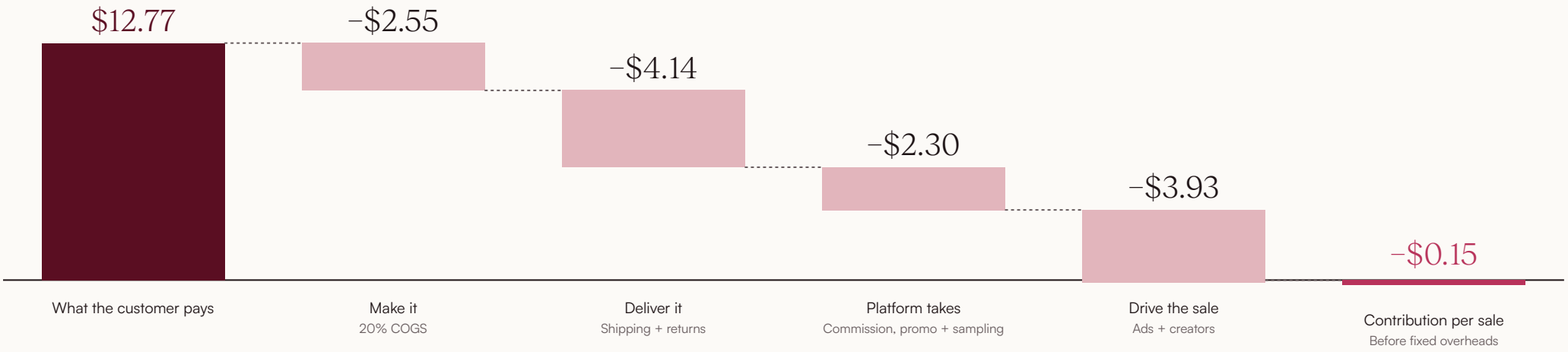
A TikTok Shop bestseller at 3.9x ROAS still lost money on every order

One personal care brand whose Shop we analysed, anonymised. Last 30 days, July 2026.

#1	$435k	3.9x	34k	
BESTSELLER	GMV, LAST 30 DAYS	ROAS	ORDERS	

What the bestseller actually keeps, per sale

ONCE EVERY COST OF SELLING IT IS COUNTED



Nearly 4x ROAS. Still underwater.

It needed about 4.1x to break even.*

Every sale loses 15 cents.

Source: Next10 Labs analysis of anonymised brand data, last 30 days, July 2026. Contribution before fixed overheads. *On the same basis as TikTok's reported GMV Max ROI. See Sources and methodology.

EXHIBIT 2.4

The Shop number can mislead in both directions

GhostGMV and halo are mirror-image blind spots.

SHOP CAN OVERSTATE VALUE

GhostGMV

Some Shop sales create less value than the headline suggests.

- Sales that lose money once all costs are counted
- Sales that would have happened anyway through another route
- Existing customers who look new to Shop

WHAT SHOP REPORTS

TikTok Shop GMV

The sales recorded on the platform.



SHOP CAN UNDERSTATE VALUE

Halo

TikTok creates incremental sales that land somewhere else.

- Direct to consumer: the brand's own website
- Amazon and other marketplaces
- Physical and online retail partners

One makes the Shop number look better than the result for the business; the other makes it look worse. The same business can have both, in different products, and the headline figure hides both.

Source: Next10 Labs.

EXHIBIT 2.5

Each standard report gives only a partial view of TikTok Shop

Each can be valid and still provide only part of the investment answer.

REPORT	TELLS YOU	DOESN'T TELL YOU
Attribution and cross-channel measurement tools[1]	Which online sales line up with TikTok activity	What TikTok added in Boots, Sephora or other shops
TikTok Shop's own data	What sold on TikTok Shop, and how much was spent to sell it	Whether those sales made money, or brought in new customers
The P&L	Revenue, costs and profit for the business as a whole	What TikTok Shop actually added, since both its costs and the sales it drives sit across other lines
Before-and-after comparisons	What changed when TikTok activity started or stopped	Whether TikTok caused it, or a promotion, season or launch did

[1] For example Fospha, Northbeam, Triple Whale or Google Analytics. Tools named as at October 2026.

2.5

How sensible decisions add up to the wrong answer

Each decision based on an incomplete picture can look sensible on its own. The danger is that they all push the same way. Repeated often enough, they change the investment mix, moving money towards what is easiest to see in the short term, because that looks efficient, and away from the activity that builds longer-term growth.

Reported returns can improve even as fewer new customers come into the business. Over time, that starves the business of the demand it needs to grow.

Source: Next10 Labs synthesis of reporting and measurement approaches, October 2026.

CHAPTER 03

The Growth Playbooks

How sophisticated brands are using TikTok Shop to answer strategic questions, not just sell more product.

P1	Use peak to answer a question you'll need to act on afterwards
P2	Reach a customer the core business struggles to reach
P3	Test small before committing to retail
P4	Prove that a harder proposition can sell
P5	Use one market to build the next market's playbook
P6	Turn TikTok demand into evidence beyond TikTok
P7	Bundle for profit

If you ask several sophisticated brands what TikTok Shop is actually for, you'll likely get different answers.

All can be right, because the platform does different jobs depending on what a business is trying to solve.

TikTok Shop offers growth that beauty brands cannot easily ignore. But competing for it requires sustained investment in creators, affiliates, promotions and paid media. For brands facing better-funded rivals, the question is how to compete without simply trying to outspend them.

The brands getting most from the platform share one habit, and it isn't a tactic. They treat every launch as a chance to learn something that carries forward.

Seven playbooks follow. Find the one that sounds like your problem and start there.

Playbook 1

Use peak to answer a question you'll need to act on afterwards

START HERE

Agree one question the peak should answer, and set the measurement baseline before it starts.

Most Black Friday briefs look the same: biggest discount of the year, launch Friday, ride the weekend. On TikTok Shop, that brief may already be late.

TikTok reported that "Fake Friday 2025", the week before Black Friday itself, matched the platform's entire 2024 Black Friday total on its own. If the money moves a week early, the advantage goes to whoever planned for it.

The brands handling peak well use its compressed conditions, when demand, spend and creator activity all spike together, to test something they genuinely need to know anyway. Does earlier activation actually convert? Does a format that felt risky hold up under real pressure? That can feel counterintuitive, because when the stakes are highest, the instinct is to stick to what works.

+34%

QVC's ten-hour Black Friday Eve broadcast against its previous major event: its best trading day on the platform to date.

QVC's ten-hour Black Friday Eve broadcast became its best trading day on the platform to date, 34% up on its previous major event.[5] It showed that live shopping could hold up under real peak pressure, which may be worth more long term than the day's revenue on its own.

Playbook 2

Reach a customer the core business struggles to reach

START HERE

Judge new-customer activity by whether those customers come back, not just whether they arrive.

Barclays' Consumer Spend research found that 45% of Gen Z shoppers named TikTok Shop as their intended Black Friday 2025 channel, against 15% of shoppers aged 28 and over. That makes the platform an obvious route for brands trying to reach a younger audience that's been slipping past them elsewhere.

But 80% of QVC's TikTok Shop shoppers are over 35, so the audience is wider than the assumption. And 59% were new to QVC, so the platform was not simply moving existing customers onto a new checkout.

The harder question is what happens next. Acquiring a TikTok-native customer is easy to prove. Whether they come back and become valuable, rather than buying once because a video caught them at the right moment, is much harder to see, and many brands aren't set up to look.

Playbook 3

Test small before committing to retail

START HERE

Run a few products with capped stock and a set end date, and take the proven seller to buyers.

Retail space is expensive to win and slow to change. A wholesale listing means committing stock, shelf space and marketing investment, often before either party knows whether the product will sell.

TikTok Shop can be a cheaper way to find out, and retail buyers already think this way. One buyer at a major UK retailer described a rule from fashion: buy enough to sell for six to eight weeks. If it doesn't work, it's out in three. If it does, get it back in quickly.

The buyer sees TikTok Shop as a brand's version of the same test: a few products that suit the format, each with the right offer and a limited run, and the fastest seller becomes the obvious one to take into retail. The appeal was capping the downside as much as finding the upside. Going all in on TikTok Shop, the buyer warned, is a different and riskier bet.

A product that flops next to one that flies tells you more than either result on its own. The test can also run in reverse. An older product that has gone quiet in store may look new to someone seeing it on TikTok for the first time.

Many buyers now spot brands through what is happening on social media: views, creator buzz, products selling out. A structured test gives them something firmer than attention: sustained sales velocity, repeat purchases and an offer that holds its margin. A product that has already proved itself is a stronger case for a listing than a forecast.

Playbook 4

Prove that a harder proposition can sell

START HERE

If a product needs explaining, test whether LIVE can remove the barrier to purchase.

High-ticket, high-consideration purchases that keep people up at night deciding are increasingly finding a place on TikTok Shop.

At its first Luxury Resale Summit, TikTok revealed that 94% of its US luxury resale revenue now comes from livestreams, with category GMV up 400% year on year, driven mostly by handbags and watches. These are not impulse buys. In beauty, the equivalent is the device, the prestige fragrance or the serum where suitability needs explaining.

"To convey trust, there needs to be a conversation."

RAINEE WALKER, US HEAD OF CATEGORY FOR LUXURY RESALE, TIKTOK SHOP

LIVE lets a seller show the wear on a bag, answer a question about strap length or explain why an item costs what it does. It turns out that the same format associated with impulse buying can also help build trust. In a separate conversation with Modern Retail, sellers described the format as "an educational opportunity" as much as a sales one.

The same logic may help explain why retailers are arriving. Circana sees a parallel in the US, where putting prestige beauty inside a mass retailer such as Target helped grow the category. A retailer's TikTok Shop may do something similar: put premium products where shoppers already browse, with a creator or a LIVE to explain them.

Playbook 5

Use one market to build the next market's playbook

START HERE

Before expanding, establish why something worked in the first market, then test what should travel.

The UK is one of Europe's most developed TikTok Shop markets, and it is getting more competitive. For brands looking for the next source of growth, what should travel matters more and more.

Copying the UK playbook is tempting, but consumer behaviour and creator culture shift from market to market. The real question is why something worked. Was it the underlying mechanic, or something local: the creator ecosystem, the format, the audience or the cultural moment?

The INKEY List took exactly that approach. In the UK, creator education and affiliates were central, with affiliates accounting for around 75% of TikTok Shop revenue. Preparing for the US, the brand did not simply copy the mix.

Founder Colette Laxton said the affiliate-led strategy would carry forward, but LIVE would receive less emphasis because of the scale of the US affiliate ecosystem.

The brands ahead of the curve treat expansion as an experiment, not a rollout.

Playbook 6

Turn TikTok demand into evidence beyond TikTok

START HERE

Brief your retail and Amazon teams before a TikTok moment, and agree how its effect will be credited.

Retailers increasingly want evidence that a brand's TikTok activity drives sales or new customers into their stores and platforms. Evidence that TikTok created demand a retailer then captured is valuable, but only if it reaches someone who can use it.

David Protein, a US protein-bar brand, illustrates how this can work beyond beauty. The brand launched TikTok Shop almost immediately, using creators and affiliates to build awareness around a distinctive product. Nine months later, its founders reported more than 50,000 products sold through Shop and 60 million TikTok impressions. But they regarded awareness and word of mouth as the bigger prize. Store owners were telling them that customers were coming in asking for David after discovering it on TikTok.

That is a compelling signal of demand reaching retail, but not yet a measured estimate of incremental sales. The opportunity is to turn signals like this into evidence a retail buyer will act on.

Too often, whoever runs TikTok Shop and whoever can turn that evidence into a distribution, ranging or trading decision sit on opposite sides of the business, or aren't talking.

IN PRACTICE

One Amazon agency specialist sees the opportunity in better coordination across a brand's teams and sales channels:

"If we know a brand is about to create a major TikTok moment, its Amazon team can increase search bids around the same or related products so the brand is visible when the customer moves from TikTok to Amazon to research or buy."

If your retail, Amazon and other commercial teams have no visibility of what the TikTok team is doing, that evidence goes unused. Without agreed credit, the Amazon ads will look more efficient because they sit closest to the sale, and the TikTok activity like a cost with no return.

Playbook 7

Bundle for profit

START HERE

Before scaling a bestseller, test whether a bundle or multipack turns loss-making orders into positive contribution.

On TikTok Shop, the bestselling product is not necessarily the offer worth putting more money behind.

Take the personal care bestseller introduced in Chapter 2. Sold as a single product, it lost money on every order. Sold in multipacks, the same product generated positive contribution.

Customers paid less per product in the multipacks, and the business kept more contribution from each order. The product had not changed. The economics of the offer had.

P.Louise built its 2025 Black Friday programme around rotating bundles, gifts with purchase and selected multi-buys rather than flash sales. New themed bundles from the core range launched through the quarter, giving creators fresh reasons to sell the existing assortment without constant newness.

Bundles and gifts with purchase are not automatically more profitable. The opportunity is to engineer the offer around contribution margin, accounting for the discounts, commissions and costs of fulfilling each order.

Sometimes the hero is not the product. It is the offer.

SEE EXHIBIT 3.1 / NEXT PAGE →

EXHIBIT 3.1

Sold in multipacks, a loss-making TikTok Shop bestseller earned positive contribution

The same personal care bestseller as Exhibit 2.3, sold as a single product and as a two-pack.



Single

AVERAGE SELLING PRICE	$12.77
CONTRIBUTION PER ORDER	−$0.15

→



Two-pack

AVERAGE SELLING PRICE	$20.63
CONTRIBUTION PER ORDER	+$1.98

Sometimes the hero is not the product. It's the offer.

Source: Next10 Labs analysis of anonymised brand data, last 30 days, July 2026. Modelled contribution per order.

Learning

Turn routine activity into compounding learning

Some fast-moving beauty brands launch new products every week, which means they run an experiment every week, whether they see it that way or not.

LIVE can also be a valuable source of customer insight. One agency we interviewed already reviews recordings of LIVE sessions to understand the questions shoppers ask, how presenters respond and what sells. For retail-first brands with little DTC presence, this may be one of the few places they hear directly from customers.

The advantage comes from connecting the insights gained across those activities. The brands getting most long-term value apply roughly the same lens launch after launch, so patterns emerge across dozens of attempts a year instead of one-off stories nobody connects.

These playbooks are not seven tactics. They are seven examples of brands using TikTok Shop to answer better business questions. The lasting advantage is not getting one launch right, but carrying what each launch teaches into the next.

CHAPTER 04

Selling Alongside Retailers

When brand and retailer sell side by side, who captures the value, and who pays for it?

4

4.1 Brands and retailers now compete for the same shopper on TikTok Shop

4.2 A brand's Shop sales can fall even while its creators work as hard as before

4.3 An uplift in sales does not tell you what value was added

4.4 Better evidence can change the commercial conversation

4.5 Who funds the demand?

Brands and their retail partners are increasingly selling alongside one another on TikTok Shop. Each sees part of the picture.

TikTok sees every sale on its own platform, but not what happens off it. A sale can move from one to the other without either side being able to show why.

That matters because each side can make a sensible decision on its own numbers that works against the other, and against itself. A buyer could scale back a brand that is driving its sell-through. A brand could pull back on creators who are filling its retailer's tills. Neither may find out until the next order, or the next range review.

4.1

Brands and retailers now compete for the same shopper on TikTok Shop

Retailers have their own reasons to be there. As the same brands appear on more shelves, simply stocking them matters less. McKinsey estimates about a fifth of brands at US specialty beauty retailers are also stocked at Walmart.[6] So retailers compete on what no single brand can offer: curation, trust, exclusives and convenience. A Shop takes those to where shoppers now discover products.

That puts several parties in the same sale, each with different interests. The brand may pay for samples, creators and media. The retailer holds the stock, and may run its own creators, LIVE and offers. The creator may be the reason the customer buys at all. But their commission depends on the listing they promote, which may belong to the retailer rather than the brand.

TikTok's role is different again. It earns a fee whichever seller makes the sale, can fund offers, and its systems decide which listing a shopper sees. It benefits wherever the sale lands.

4.2

A brand's Shop sales can fall even while its creators work as hard as before

A shopper persuaded by the brand's creators may buy through the retailer's Shop instead, drawn by a familiar name, loyalty points or a better offer. The brand's reported sales and ROAS can fall, even though its content is still generating demand for the brand.

The till has moved.

Unofficial resellers add a further blind spot: the brand's creators may drive their sales too, yet those sales show up in neither the brand's figures nor its authorised retail partners'. Staying off TikTok Shop does not keep a brand's products off it, and the legal appendix covers what a brand can do about resellers.

It works the other way too: the retailer's own TikTok activity can lift sales in the brand's Shop, and the retailer's report will miss it.

4.3

An uplift in sales does not tell you what value was added

When TikTok activity lifts a retailer's sales of a brand, each side needs to know what that lift really is. For the brand, it runs into reorders, new customers and the profitability of the account. For the retailer, it runs into sell-through, stock risk and whether the customer comes back.

It is the halo and GhostGMV question again, now with two businesses asking it. The uplift may be new demand. It may be demand that has moved from another seller or channel. Or it may be stock that would have sold anyway, simply selling faster. The answers can overlap.

Exhibit 4.1 shows how each can create different value for the brand and retailer.

Telling them apart may require retailer sell-through and the brand's own channel sales to be read together. That does not necessarily mean passing sensitive data between the businesses: limited, aggregated information or analysis by an independent third party may be enough.

Even where some data already moves between a brand and its retailers, it is rarely joined up. A buyer at a major UK retailer said suppliers typically receive weekly sales updates, while some larger suppliers pay for more detailed EPOS access. Buying teams cannot provide granular analysis for every brand, though they can drill down when a significant problem or opportunity warrants it.

So the gap is not only access. Each side holds half the answer, and often no one owns the job of putting the halves together.

4.4

Better evidence can change the commercial conversation

Understanding what value TikTok activity has added can change what a brand asks of its retail partners, and what a retailer is prepared to back. That evidence can inform independent decisions on both sides:

- **Ranging.** Which products are listed, in what depth, and where new launches go first.
- **Stock.** How inventory is planned around a TikTok moment, so the demand it creates isn't lost to a stock-out.
- **Retail media.** How it is priced, and whether some of it could support activity on TikTok.
- **The joint business plan.** Which launch, brand-building and media activity is funded, by whom, and on what evidence.

For a smaller brand, the same evidence can be what wins a first listing or a bigger order.

Some of this is already happening. In our conversations, brand owners described setting aside a TikTok budget for each of their brands and featuring one retailer as the tagged partner on a launch, alongside agreed campaign support. Some funding in trading agreements is starting to move from in-store displays towards TikTok activity. In one recent terms discussion, faced with a retailer's claim on margin, a brand set out the media it already directs to that retailer each year and proposed deciding together how some of it could reach the retailer's shoppers on TikTok. Retailers, for their part, are asking brands to help fund Shops that do not yet break even, and both sides are exploring cost-share models.

These remain emerging practices, not the norm. Existing trading arrangements and negotiation practices largely predate TikTok, so evidence of demand created on one side rarely enters the conversation. Under cost pressure, neither side is keen to put cash at risk without knowing what it will get back.

EXHIBIT 4.1

A TikTok Shop uplift can mean different things to brand and retailer

The same rise in retailer sales can mean different things for each commercial partner.

SCENARIO	WHAT IT MEANS FOR THE BRAND	WHAT IT MEANS FOR THE RETAILER
01 Incremental sales	Potential new customers and additional wholesale demand	Additional sales and potential repeat customers
02 Different paths to purchase	The same customer at a different till	Sales that may not be new to the brand
03 Faster sell-through	Earlier or larger reorders, if they follow	Cash back sooner, less stock risk

Neither side can fill in both columns from its own data alone.

Source: Next10 Labs analysis. Scenarios are simplified and designed to show how the same retailer sales uplift can mean different things for each side.

4.5

Who funds the demand?

Proving that TikTok creates value does not settle who should fund it.

Take retail media. A brand that moves part of its budget from a retailer's media programme into TikTok activity can lift the retailer's sales, while the retailer loses the higher-margin media income it used to book. Sales improve, but the buyer, accountable for margin, may end up worse off.

Exhibit 4.2 shows why higher sales can leave the retailer worse off.

WHERE THE BOUNDARIES SIT

Gabriela da Costa, K&L Gates

Where a brand and its retailers also compete on TikTok Shop, exchanging commercially sensitive information or coordinating prices, promotions and offers can raise competition law concerns. Non-sensitive or appropriately aggregated data may help, while the legal appendix sets out the relevant safeguards and considerations.

Better evidence can inform the commercial bargain, but the incentives still have to work. Where TikTok changes who creates demand, who captures value and who bears the costs, the opportunity is for brands and retailers to reassess whether their existing trading terms still reflect that exchange of value.

EXHIBIT 4.2

When more sales do not make the buyer better off

Shifting brand investment towards TikTok can lift sell-through while reducing retailer media income.

01 · THE EXISTING ROUTE

Retailer-controlled media

BRAND
Trade and media budget

→

RETAILER
Own media network, display or activation

THE RETAILER BOOKS
Media income that contributes to margin.

02 · THE EMERGING ROUTE

TikTok-supported retail

BRAND
Redirects part of that budget

→

TIKTOK
Creators and paid media, with a retailer tagged

THE RETAILER MAY BOOK
More product sales, but less media income.

THE BUYER'S MARGIN TEST

\+ **Additional contribution from sales**
Only if the uplift is genuinely incremental

− **Retail-media income given up**
Revenue previously booked by the retailer

= **Net margin benefit?**
The result the buyer is accountable for

The commercial question: will the extra sales contribution outweigh the margin the retailer gives up?

Source: Next10 Labs analysis based on retailer interviews. Illustrative mechanism; emerging practice, not a market-wide norm.

CHAPTER 05

What Can We Measure Today?

And what would the evidence change?

5

5.1 The question is what the next investment will earn

5.2 Start with the evidence you already have

5.3 Look beyond the campaign week

5.4 Agree what evidence is enough before you spend

5.5 Proven value can still go unfunded

For one UK retailer outside beauty, TikTok's estimated return nearly doubled once store sales were counted.

A marketing mix model (MMM) estimated TikTok advertising's return on ad spend (ROAS) at 2.2x when only online sales were counted. Once store sales were included, the estimated return rose to 4.1x.

That changed the assessment of TikTok's value. The retailer had been evaluating advertising against only part of the revenue it appeared to generate.

The finding was subsequently tested. TikTok advertising spend was increased sharply in one geography and kept close to zero in another. The measured store-sales uplift fell within the range estimated by the model.

That is what useful measurement should deliver: a better understanding of what the business has gained, greater confidence in the evidence, and a clearer basis for the next capital decision.

EXHIBIT 5.1

TikTok's return nearly doubles with stores

For one UK retailer outside beauty, a marketing mix model estimated TikTok's ROAS at 2.2x on online sales alone, and 4.1x once store sales were included.



Costs sit in one channel, but the return doesn't show until you count the wider retail impact. A subsequent regional experiment produced results within the model's estimated range.

A sensible decision can add up to the wrong answer.

Who authorises the next investment?

Source: Anonymised UK retailer outside beauty; measurement-provider MMM estimate, corroborated by a subsequent regional experiment.

Following the Value · Next10 Labs · next10labs.ai

5.1

The question is what the next investment will earn

In that example, measurement was the first step. The model could answer a further question: how would returns change if spending increased?

The model suggested the two channels were at different points on their spending curves. At low levels of investment, advertising can sometimes become more efficient as spending scales, before diminishing returns set in. That was the pattern forecast for TikTok here: a fourfold increase in advertising spend could lift estimated ROAS from 4.1x to 6.3x. Google Performance Max appeared closer to saturation, with a 50% increase in spend forecast to lower its return.

4.1x → 6.3x

Forecast TikTok ROAS if advertising spend rose fourfold, as modelled for the same retailer.

It gave the business a way to compare where additional marketing investment might work hardest, rather than simply which channel had delivered the highest return to date.

For management, that distinction can change the allocation of an entire marketing budget.

A model is only an estimate. Its value as a guide to future investment grows when its predictions are tested against actual outcomes.

On TikTok Shop, media spend is only part of the investment. A brand with modest advertising spend but heavy affiliate commissions, sampling, content production and discounts could report strong ROAS while generating little profit.

Automated advertising makes that gap more important. TikTok's GMV Max lets sellers set an ROI target, but the target it recommends is based on historical Shop sales and advertising spend, not the brand's contribution economics.

Lower targets can increase delivery and help build momentum. That may be exactly what the business wants. But meeting the target does not establish whether the orders are profitable. The brand needs to set its target with its own P&L in view, and decide what losses, if any, it is prepared to accept, for what purpose and for how long. **That is a management decision, not one to outsource to the algorithm.**

That is a management decision, not one to outsource to the algorithm.

5.2

Start with the evidence you already have

Not every business has the history, scale or budget for robust marketing mix modelling. But useful measurement does not have to start there, and it does not have to wait for anyone else's data.

A brand and its retailer can each start with what they already hold. The brand already sees its own Shop, its own site, and the timing and size of each retailer's reorders. The retailer sees its own Shop and store sales of the brand, alongside the brand's creator activity, which is public. Each can test whether its TikTok spend pays back across its own business before asking the other for anything.

For a TikTok-native brand preparing to expand beyond Shop, this is also the moment to establish a baseline. Understanding what Shop already delivers in sales, contribution and customer acquisition makes it easier to investigate whether new channels truly add incremental value or simply move sales from one place to another.

One beauty operator we interviewed receives weekly sales data by SKU and individual store from a major retail partner. The business also holds TikTok Shop sales and campaign records, and uses a cross-channel measurement tool to examine TikTok's influence on sales through its own website and Amazon, a particularly profitable channel for it.

The unanswered question was whether TikTok activity was also contributing to cosmetics sales in physical retail.

Yet much of the evidence needed to investigate was already available. When a product received substantial TikTok support, did its store sales rise in the following weeks compared with similar products that received less support? And did that pattern recur at subsequent launches?

Such comparisons would not prove causation. But they could reveal where the relationship between TikTok activity and retail sales is strong enough to investigate, where the evidence remains weak, and where stronger measurement, such as a controlled experiment, would justify its cost.

For a business with a fixed marketing budget, that could change where management looks first: which assumptions to question, which products to test, and where stronger proof is worth paying for.

For retailers, the question runs the other way: do customers buying products promoted on TikTok come back, keep buying the brand, and generate enough value to justify further support? Their own store and loyalty data can start to answer it.

> The starting point is not necessarily more data or better tools. It is asking whether the evidence the business already holds, read differently, could change where the money goes.

Exhibit 5.2 shows how evidence becomes less direct as the sale moves further from TikTok Shop.

5.3

Look beyond the campaign week

One founder described a pattern many brands will recognise. Whenever the business runs a campaign or discount on TikTok Shop, sales rise. When it ends, they fall back. The founder's view was that Shop remained largely campaign- and price-driven, with greater value as an awareness channel.

That may be right. But the campaign spike alone cannot establish how much additional business it created. As Chapter 2 showed, a spike can hide GhostGMV.

The weeks after offer another view.

- Did Shop sales return to their previous level, or settle higher?
- Did brand searches, sales on your own website or Amazon, or retailer reorders change?
- Did first-time buyers return without another discount?
- Did sales move from the brand's Shop to a retailer's Shop?

These are signals, not proof of causation. An immediately profitable campaign may already have done its job. But where the aim is to win valuable customers or build demand beyond Shop, looking across campaigns and over time can give management a better basis for deciding what to repeat, what to change and where to invest next.

EXHIBIT 5.2

The further the sale, the less direct the evidence

Different outcomes require different methods. Observation alone is not proof of causation.

01 Sees and engages on TikTok

02 Buys on TikTok Shop

03 Buys on your own website

04 Buys on Amazon and other online channels

05 Buys in physical retail

Engagement

Views, watch time, creator activity

What you will hear about

- Platform analytics
- Ad and creator reporting

What it gives you

Good visibility of activity and attention on TikTok.

How solid is it?

Strong

For what happens on TikTok.

Shop

Orders and GMV recorded in Shop

What you will hear about

- Platform reporting
- Causal impact
- Pre/post analysis

What it gives you

A clear view of what happened on TikTok Shop. Causal impact estimates incremental sales; pre/post is directional, not proof.

How solid is it?

Fairly strong

But TikTok is marking its own work.

Your website

Owned-site orders linked to TikTok

What you will hear about

- Pixel attribution
- In-house attribution model
- Custom multi-touch attribution

What it gives you

Evidence that TikTok activity and your DTC sales are connected.

How solid is it?

Medium

Usually stronger on linkage than proof of causation.

Amazon

Sales beyond your own site

What you will hear about

- Cross-channel attribution
- Marketing mix modelling (MMM)

What it gives you

An estimated view of value landing outside your own site and TikTok Shop.

How solid is it?

Medium to low

An estimate that needs history and scale.

Physical retail

In-store sales and sell-through

What you will hear about

- Retail sell-through data
- Offline matching
- Marketing mix modelling (MMM)

What it gives you

Evidence that TikTok activity and in-store sales are connected.

How solid is it?

Weakest

Depends on retailer data, sample-based methods and scale.

EASIER TO OBSERVE → HARDER TO ESTABLISH

Source: Next10 Labs synthesis of measurement approaches. Evidence strength depends on design, access and quality of data.

5.4

Agree what evidence is enough before you spend

The case for more evidence rises with the cost of being wrong. The aim is not to eliminate uncertainty before acting. It is to know what remains uncertain, what it would cost to be wrong, and what evidence the next commitment needs to earn.

£20k+

Starting fee one provider quoted for a one-off marketing mix model. Ongoing measurement and testing cost substantially more.

Evidence has a price. One provider we interviewed quoted fees starting at around £20,000 for a one-off marketing mix model, with ongoing measurement and testing costing substantially more. Against a £50,000 test, that is a large share of the decision. Against £5 million, it may be a modest price for reducing the risk of getting it wrong.

The answer is not always to buy another measurement tool or commission a model. It may be a better reading of existing records, a limited test or a longer period of observation. The question is whether more evidence would change the decision, and whether that change is worth what it costs.

Chapter 3 suggested setting a baseline before peak activity. The harder part is getting the people who will judge the result to agree, before the money is spent, on what normal looks like, how the result would change the next decision, and how long to keep watching. Otherwise, the results arrive and every team reads them its own way.

Exhibit 5.3 shows how the required evidence rises with the capital at risk.

5.5

Proven value can still go unfunded

There is one limit that better measurement cannot fix on its own.

Chapter 2 described a global beauty business that judged TikTok Shop as a DTC line, although some of the demand it created could turn into sales on Amazon and in retail. Suppose the business now has credible evidence of that wider return. Say the activity shows £100,000 of sales in TikTok Shop and barely breaks even, but the evidence links another £50,000 of incremental retail sales to it. On DTC numbers, the investment looks weak. Across the business, the contribution from those retail sales must also be counted.

The DTC team may still report a weak return. The retail team may benefit from the activity but have no authority over the marketing budget that funded it. If the next budget is decided on DTC performance alone, the business could cut an investment that is driving the incremental sales.

So who authorises the next £100,000, and against which return is it judged?

This is where measurement meets the way a business allocates capital. It can show value that was previously invisible, but it cannot change the targets, budgets or decision rights that determine whether the investment happens.

Some businesses are starting to address this. One operator we interviewed has brought DTC, Amazon and TikTok Shop under one commercial leader so channel decisions are made with one view of the business.

In a large business, TikTok Shop's own sales may look too small to warrant attention, even when there are signs it is creating demand elsewhere. Without someone who sees the whole return and has the authority to act on it, the opportunity can be overlooked altogether, or seen and still not funded.

EXHIBIT 5.3

How much evidence does the next decision need?

As capital at risk rises, the evidence required to justify it should become stronger.

£50k

TEST

WHAT MANAGEMENT REASONABLY NEEDS

A clear objective, baseline, and an agreed way to judge the result

TYPICAL ROUTE TO THE EVIDENCE

Existing records, a baseline set before activity starts

£500k

REALLOCATION

WHAT MANAGEMENT REASONABLY NEEDS

A defensible estimate of added value, cross-checked against other evidence

TYPICAL ROUTE TO THE EVIDENCE

Comparisons across products, stores and time; a limited test

£5m

COMMITMENT

WHAT MANAGEMENT REASONABLY NEEDS

Stronger causal evidence, customer economics and a credible assessment of returns across the business

TYPICAL ROUTE TO THE EVIDENCE

A controlled experiment or a tested model

Source: Next10 Labs illustrative capital-allocation framework. Amounts are examples, not prescribed investment thresholds.

CHAPTER 06

Making the Call

What TikTok Shop adds to the business, and how to decide what to invest next.

6.1	Start with the business, not the channel
6.2	Decide what the loss is buying
6.3	Make the first investment buy a decision
6.4	Beyond the budget: where the spend goes
—	The final call

One beauty founder, weighing a TikTok Shop investment, put the dilemma plainly:

"The challenge for a brand like us is the significant capital risk if it doesn't work!"

BEAUTY FOUNDER, INTERVIEW

The business is still young, selling through its own website and a major beauty retailer. It needs greater awareness, and the team sees TikTok as the place to reach its next generation of customers. They want to invest properly.

The agency's proposal asked a lot. Build the Shop around an established hero product and a discovery offer. A year of agency support, hundreds of samples a month sent to affiliate creators, sustained media spending, and a forecast five-figure loss before the Shop reached scale. The route to profit depended on rising sales, steadily better advertising returns, and the savings from bringing the work in-house and cutting the agency's fees.

The forecast left out halo. The team was counting on it anyway: sales on the website and in retail that TikTok might drive, on top of the Shop's own.

Would we approve the investment?

Not as written.

What we would approve instead is smaller and capped, designed so that even if the Shop never reaches scale, the money buys the business a decision it has to make anyway.

The agency's job is to build a successful Shop. The founder's job is to build a more valuable business. Those can line up. Here, they don't yet.

6.1

Start with the business, not the channel

In this case, the brand had two core business problems it was still trying to resolve, independently of TikTok Shop. Too few people knew it. And although its products were good, it was still working out which customers to prioritise, what would make them choose the brand, and how to stay relevant to them over time.

The agency's proposal was designed to grow Shop sales. But the business needed more than another place to sell its products. It needed to find what would drive its next phase of growth.

This business already paid to find growth:

- product launches that might not land
- paid social tests to find winning products
- a customer community it consulted on new products
- retail media with its partner.

If TikTok could do some of that work faster or more cheaply, part of its budget should come from those lines. The opportunity may be to redirect existing spending, not simply add another budget.

Make the investment work twice

For this founder, TikTok Shop could serve a second purpose alongside generating sales. The business could develop compelling product offers and propositions, then test them with creators, including members of its existing community:

- What would make creators want to sell them?
- Which messages would resonate?
- What would convert?
- Which customers would respond?

That evidence could inform new product launches, creative development and retail investment before larger amounts of capital are committed. The business would be paying not only to establish a sales channel, but also to answer questions it already spends money trying to resolve. Even if the Shop failed to scale, those answers could still have commercial value.

The same discipline applies to any beauty business: decide what TikTok is being paid to do before deciding how much to spend on it, because that choice sets how the return should be judged.

Test a proposition	By confirming or avoiding a bigger launch
Acquire customers	Through customers who come back
Build a sales channel	Through contribution after full costs

The agency's plan was built around the third. This business most needed the first. TikTok Shop can amplify a strong proposition, but it cannot fix a weak one. A good TikTok channel plan can still be the wrong business strategy.

The decision is what role TikTok should play in growing the wider business, and whether that role justifies the investment.

6.2

Decide what the loss is buying

A loss-making Shop can still be a good investment, if the loss buys something worth more than it costs. The question is when that is true, and when it isn't: what is the business prepared to give up, for what return, and for how long?

The answer depends on the business. A company focused on growing top-line sales will put that first. A founder funding a launch from scarce capital may put payback first. Both still need to understand the trade-offs.

For this founder, the forecast revealed what the investment would require the business to believe.

Growth against profitability.

The forecast assumed nearly £4 of sales for every £1 of advertising, a return many Shops would be pleased with, and still lost money on every order. The business would be funding growth before it had established a profitable commercial model.

The route to profit.

The forecast eventually approached profitability, but depended partly on bringing the work in-house and removing agency fees. The plan worked only if the brand could keep creators posting and ads efficient without the people who built them. That may be true. It is the biggest assumption in the plan.

Different assumptions, different decisions.

A forecast is only as good as its assumptions. A second model of the same proposed launch showed a five-figure profit. It differed on three assumptions: orders 50% larger from later months as bundles took over, advertising returns tripling over the year, and agency savings. The same opportunity turned from loss-making to profitable depending on those three numbers.

Today's contribution against tomorrow's customers.

Neither forecast explicitly showed the contribution from repeat purchases. This brand had a healthy repeat rate, so if TikTok customers behaved similarly, modelling retention could materially improve the investment case. But projected lifetime value is not demonstrated payback. Those assumptions belong in the investment case, but they still need to be tested against actual customer behaviour.

Shop profitability against wider business value.

The team's forecast left halo out, though it was counting on it. Some planning models go further and build it in. One we reviewed added £1.65 of website and retail revenue for every £1 of Shop sales, taken from a third-party study of other brands, and reported a return of over 3x, including assumed halo. But additional retail revenue is not equivalent to additional profit for the brand, and a multiplier is not evidence of incrementality in this business. Anticipated halo should inform what the business sets out to measure, not silently close a gap in the forecast.

Brand equity against conversion.

One forecast discounted every order by 20% for a full year. That can lift sales today while teaching customers to wait for the next offer. But the trade-off goes beyond the discount itself. Creator content that departs from a brand's usual aesthetic may be exactly what makes it work on TikTok. The more important question is what that content teaches customers about the product and its value. An offer can convert profitably while positioning a premium brand primarily around the cheapest place to buy it. The business needs to distinguish creative freedom that builds familiarity and desirability from promotional activity that may erode pricing power and brand equity over time.

Whether the investment deserves to proceed depends on the evidence behind those assumptions and the trade-offs management is willing to accept.

A loss can be part of the plan. It should not become the plan by default.

6.3

Make the first investment buy a decision

The answer to capital risk is not to avoid it, but to stage it. Commit enough to find out what the case depends on, and agree before spending what would earn the next stage.

For this founder, the first stage has two jobs. It tests the propositions 6.1 identified, and it tests the assumptions 6.2 exposed. The forecast has already written the list:

- Do advertising returns improve as the Shop learns?
- Do bundles lift what each customer spends?
- Do TikTok customers come back?
- Does demand show up on the website or in retail?
- What does the Shop cost to run without the agency?
- Do the economics still work when platform-funded discounts and advertising credits are removed?

Some can be tested quickly. Others will need longer. The first commitment should be sized around what the business needs to establish before putting more capital at risk.

Which route?

The founder had another option: support its retail partner's TikTok Shop rather than open its own.

That is not necessarily cheaper. Someone always pays. The brand may avoid stock and fulfilment, but it still funds the creators and content, gives up margin to the retailer, and may be asked to help fund a Shop that doesn't yet break even (Chapter 4). What changes is who carries the cost, and who sees the evidence.

For this founder, the evidence was the point. So access to it should be part of the bargain: product-level sales, conversion and repeat-purchase evidence, to the extent available and shareable within the legal boundaries in the appendix. If sufficient access can be agreed, the retailer's Shop may be the better first stage. If not, the brand risks paying to build demand without obtaining the learning it needs, and a small, capped Shop of its own becomes the stronger option.

Commit capital in stages

Exhibit 6.1: The proposed plan and a staged alternative

EXHIBIT 6.1

The proposed plan and a staged alternative

DIMENSION	THE PLAN AS PROPOSED	A STAGED ALTERNATIVE
The job	Build a profitable sales channel	Find what makes customers choose the brand; test the channel along the way
Route	Own Shop from the start	Explore the retailer's Shop first, subject to access to useful evidence; otherwise consider a small, capped own Shop
Commitment	A year of agency fees, samples, stock and media	A capped first stage, with a defined duration and maximum loss
Products	An established hero and a discovery offer	Test propositions against the hero to establish what drives customer choice
Before launch	Launch	Set a baseline for website and retail sales by product; agree how results will be judged
What is tested	Performance assumed to improve with scale	Advertising returns, bundle economics, customer retention, operating costs and wider sales impact
What releases more money	Hitting the sales target	Evidence that the underlying assumptions hold and justify the next commitment
Funded from	A new budget	Redirect existing launch and testing spend where TikTok can perform that work better

Agree before launch what would justify scaling, fixing the offer, testing again or stopping. Even a decision to stop can have value if it prevents a costlier mistake or changes where the business invests next. But learning only counts as a return when it changes a decision worth more than the cost of obtaining it.

The first investment should not approve a bigger budget in advance. It should earn the right to one.

6.4

Beyond the budget: where the spend goes

The next stage is rarely one decision. It is a set of choices about which products, offers and creators to put more behind, and the evidence for those choices is often already in the data.

See Exhibit 6.2 on the next page.

Source: Next10 Labs analysis of one founder's TikTok Shop investment case, anonymised.

EXHIBIT 6.2

Margin. Velocity. Materiality.

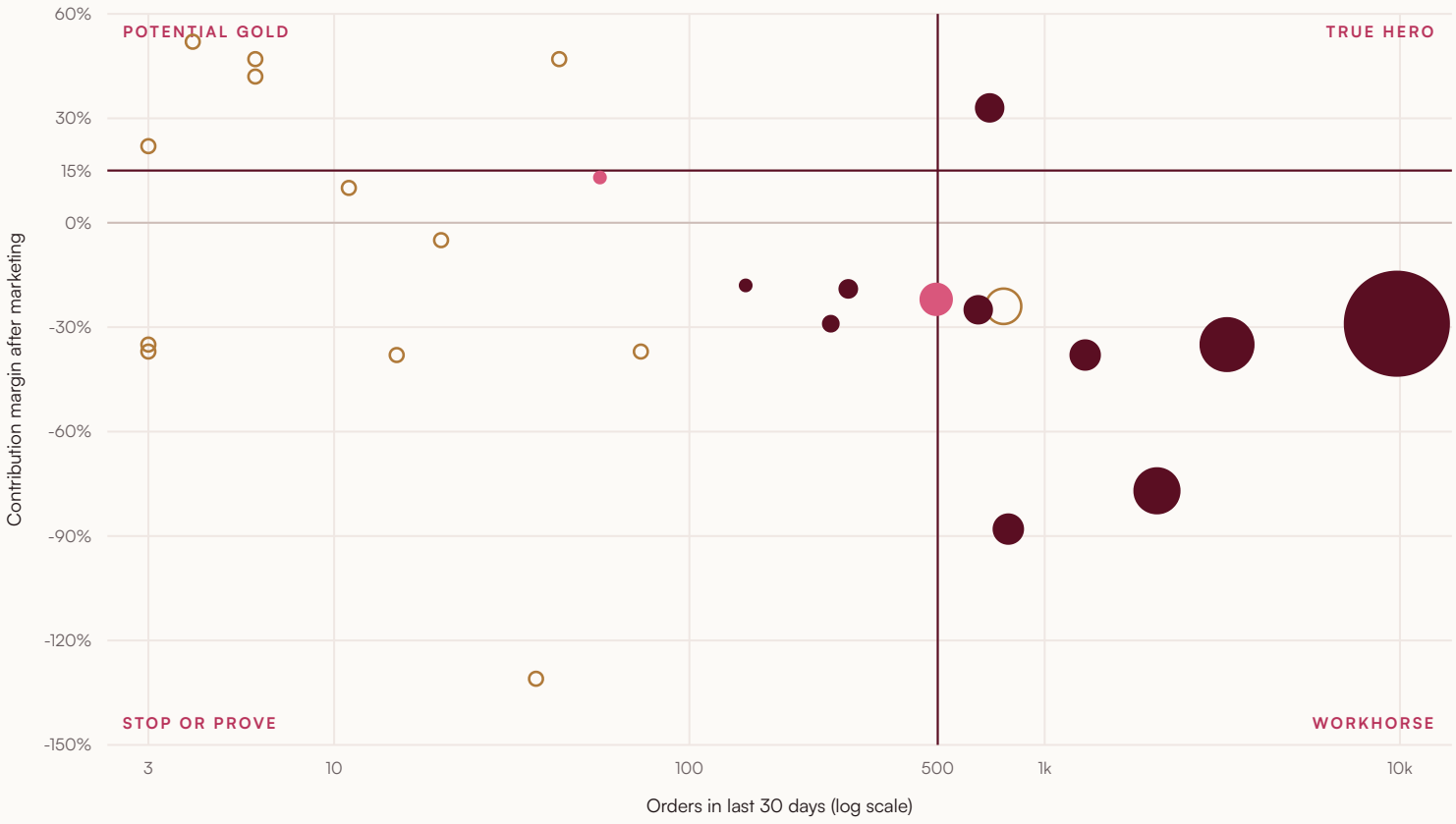
The range contains high-volume loss-makers and lower-volume offers with stronger contribution.

ONE SHOP · LAST 30 DAYS

The question is not only which offer sells. It is which offer earns the right to scale.

- Mixed bundles and sets
- Multipacks
- Singles

Bubble area reflects L30D GMV. Dividing lines: 500 orders and 15% contribution margin.



Source: Next10 Labs analysis of anonymised brand data, last 30 days, July 2026. Contribution before fixed overheads; margins modelled using cost assumptions.

READING EXHIBIT 6.2

This is where to start: with what a business already sells. The chart maps one Shop's range by margin, sales velocity and materiality. Its biggest sellers are single products losing money on every order. Several bundles and sets earn stronger margins but have yet to reach scale. Only one product combines scale with strong contribution, and it isn't among the biggest sellers.

Read this way, the same range shows what to back, rebundle, test or stop. The usual reports don't show it.

The point is not to kill what works. It is to decide what it has earned: further testing, greater investment or a redesign of the offer.

CONCLUSION

The final call

So should the founder approve the investment? Not the year-long plan. We would back a first stage built around what the business most needs to learn, capped at what it can afford to lose, with the next pound earned by evidence.

The decision was never whether TikTok Shop could grow. It was whether this investment would leave the business more valuable than the alternatives.

As retail unbundles, the value TikTok creates will keep landing where no single team is watching. The businesses that follow it will put capital where it earns most.

TikTok Shop will keep moving fast.
The question is whether the business can learn as fast as it sells.

Epilogue

When AI agents enter the buying decision

The challenge of following the value will not end with TikTok Shop.

AI-assisted shopping is beginning to put another intermediary between the customer and the business. AI agents are already shaping how shoppers discover and compare beauty products. A shopper can describe a skin concern, a budget and the ingredients they want to avoid, and receive a shortlist.

In the US, some AI shopping experiences already let customers buy without visiting the merchant's website.[7] Sephora has launched a US pilot of its app inside ChatGPT, with checkout planned.[8] More broadly, agentic commerce is at an earlier stage in the UK and Europe, where privacy and regulatory requirements add complexity.

The merchant may still receive the order and retain the customer relationship, yet not see the questions, comparisons and recommendations that shaped the buying decision. This is not an entirely new problem. Brands have long lacked visibility of the conversations customers have before buying through retailers. What changes is how much of the decision an intermediary may now shape.

As AI agents take on more of discovery, consideration and purchase, the distance between where demand is created, where sales are recorded and where value lands may grow.

For businesses still organised and measured channel by channel, the cost of reading the numbers wrong will rise, not fall. The discipline at the heart of this report becomes more important: follow the value across the whole business before deciding where to invest.

Before you invest another pound in TikTok Shop

Eleven lessons, grouped by where you are now.
Find yours, then act.

01 Before you launch, know this.

TikTok or TikTok Shop? Know what Shop adds, and what it costs.

TikTok can create awareness and demand that converts elsewhere. TikTok Shop lets you capture and measure demand through sales, closing the loop between discovery and purchase. It also gives you early distribution and a way to test products and offers, learn what sells and apply those lessons to the wider business. Affiliates, GMV Max and LIVE are the tools. **The flywheel starts with the right product and offer.** The trade-off is the investment and operational commitment required to run them.

EXHIBIT 1.7, P.14 · CHAPTER 6

Don't underestimate the creator operation.

Short-form content takes more work and investment than most teams expect. More posts alone aren't the answer. Test offers creators can sell before scaling sampling. Recruit widely, then find, nurture and back the few who consistently convert. Use tools to manage the volume, assess both sales and brand impact, and reuse valuable content across channels.

SECTION 1.3 · EXHIBIT 1.9, P.17

Decide how much profitability matters from day one.

Know the break-even ROAS of every product or offer, after its other selling costs. If profit matters, use that number to set your GMV Max target from the start. If building momentum matters more, a lower target can be the right call while you get the flywheel turning. **But know the loss you're choosing to fund.** Otherwise, you can scale a loss without realising it.

3.9x	4.1x*	−$0.15
ROAS EARNED	NEEDED TO BREAK EVEN	LOST PER ORDER

EXHIBIT 2.3, P.23 · SECTION 5.1

Premium brand? Don't judge content by sales alone.

Use demonstrations and LIVE to show why a higher-priced product is worth buying. But a high-performing video can still undermine brand positioning if it teaches customers that cheap prices are the reason to buy. Judge what the content sells **and what it teaches customers about your brand**.

PLAYBOOK 4, P.28 · SECTION 6.2

02 Running a Shop? Get your range right before your next peak.

Choose what you push, and how you bundle it.

Ahead of Black Friday, deciding which products and bundles to back matters more than simply adding creators or media. The same bestseller lost money as a single and made money as a two-pack. The product didn't change. The economics of the offer did. Know what each offer earns after all selling costs before paying to scale it.

−$0.15	+$1.98
SINGLE, PER ORDER	TWO-PACK, PER ORDER

EXHIBIT 3.1, P.30 · PLAYBOOK 7

Set your baseline before the spend starts.

Know your normal sales and repeat purchases, and agree what peak should prove. Seller Center already shows new and repeat Shop buyers. After peak, check what changed across Shop, website, Amazon and retail.

PLAYBOOK 1, P.27 · SECTIONS 5.3—5.4

*Next10 Labs model, on the same basis as TikTok's reported GMV Max ROI.

Review every product and offer through the MVM: Margin, Velocity, Materiality.

Use our Profitability Check to assess your range regularly by contribution margin, sales velocity and financial significance. Back true heroes, reprice or rebundle workhorses, test potential gold, and stop or prove the rest. Your biggest seller may not be your most profitable offer.

EXHIBIT 6.2, P.50

Make the next investment conditional.

Agree the baseline, the loss you'll accept and the evidence that would justify scaling, changing course or stopping. Not every order has to make money, but the reason for losing money must be explicit, bounded and testable. As the money at risk grows, strengthen the proof, and give someone ownership of the return across the whole business, not just the Shop.

EXHIBIT 5.3, P.44 · SECTIONS 5.5 AND 6.3

03 Selling alongside retailers? Know where the profit lands.

TikTok-native and considering retail? Prove the proposition first.

Establish your Shop baseline for sales, contribution and customer acquisition. Use a bounded product test to show sustained demand, then take that evidence to buyers to support ranging and stock decisions.

PLAYBOOK 3, P.28 · SECTION 5.2

Your Shop sales can fall while your creators are working.

A customer may discover a product on TikTok but buy it at a retailer instead. Equally, a retailer's uplift may be new customers, sales moved from another till, or stock selling faster. Look across both businesses before judging what TikTok added.

SECTIONS 4.2—4.3 · EXHIBIT 4.1, P.35

Who pays for the demand? Make the evidence part of the deal.

TikTok activity can change what a retailer stocks, retail media and joint business plans. But more sales don't automatically mean more profit for either side. Agree who captures the value, who carries the cost and whether the incentives work. Keep data-sharing within legal boundaries.

SECTIONS 4.4—4.5 · EXHIBIT 4.2, P.37 · LEGAL APPENDIX, P.57

WHAT COMES NEXT

What good looks like for your business sits inside your business.

Already running a Shop? Start with our free Profitability Check. Use your own numbers to put these lessons to work.

Take it further: copy your results into your own AI assistant and attach this report to explore what to back, change or test.

Run these lessons on your own Shop before Black Friday.

Bring us the decision you're facing.
next10labs.ai · hello@next10labs.ai

SCAN FOR THE FREE PROFITABILITY CHECK

next10labs.ai

Working with Next10 Labs

This report shows what we've found. The answers that matter most for your business are private: what good looks like for your Shop, which products and bundles to test or scale and when to pull back, and what your TikTok customers are really worth. That's where your advantage lives, and where our work begins.

We work with founders and leadership teams to turn what TikTok Shop teaches them into a competitive advantage across the business: better products and offers, sharper content and brand positioning, smarter investment and more valuable growth. Not just a bigger channel.

We don't run your channel. We sit alongside your team and agencies, with no platform, agency or tool to sell, and leave the capability with you.

THREE THINGS WE HELP YOU ESTABLISH

01

Economics

Where is value being created or lost? We start with money you're already spending.

02

Evidence

What are we learning across products, offers, content and customers? How reliably can we measure it, and what still needs proving?

03

Decision

What should we back, change, test or stop, and where else in the business can that learning work?

TWO WAYS TO WORK WITH US

01 Learn with us.

Briefings and in-house clinics for leadership teams, boards and investors: where the opportunities and risks lie, and what to do differently.

02 Solve a live decision together.

Your decision, your numbers, and the evidence each team holds, brought into one view. From planning a launch to deciding what to scale or assessing an investment.

Already running a Shop? Start with our free Profitability Check: your own Margin, Velocity, Materiality view (Exhibit 6.2), showing where you're leaving profit on the table.

Bring us the decision you're facing.

The first conversation is on us.

Nnenna Onuba, Founder · nnenna@next10labs.ai

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SCAN FOR THE FREE PROFITABILITY CHECK

About Next10 Labs



Next10 Labs brings together what consumer businesses rarely find in one place: independent research, commercial judgement, measurement expertise and a network of senior specialists, starting with TikTok Shop.

We combine our own analytical tools and know-how with the best emerging solutions and specialist expertise. With no platform, agency or software to sell, we find the most practical, cost-effective route to your goals.

FOUNDED AND LED BY

Nnenna Onuba

Over a career spanning more than two decades, Nnenna trained as a chartered accountant at PwC, spent ten years in mergers and acquisitions at investment bank Rothschild, working on more than £20bn of transactions, founded and ran beauty brand LBB Skin, co-led the sale of Nailberry, and invests in consumer businesses.

She brings a banker's eye for where value is created, lost and frequently misread, and a founder's understanding of what it takes to bring people together and act on the evidence.

SPECIALIST BENCH

We draw on a network of senior measurement, data and commercial specialists, bringing in the expertise each question requires.

Nnenna is a Non-Executive Board Director of the British Beauty Council and was named one of Brummell's 30 Inspirational Women in the City in 2026.

Where the legal boundaries lie on TikTok Shop

Key legal questions for brands on TikTok Shop. Contributed by Gabriela da Costa, UK and EU Competition Law Partner, K&L Gates LLP, a global law firm. Gabriela advises leading consumer and beauty brands on distribution strategy, ecommerce and competition law. She serves on the Advisory Board of the British Beauty Council.



Gabriela da Costa

PARTNER, K&L GATES LLP

— From content to checkout

I Distribution and competition law

II Other legal considerations: a checklist

Several of this report's recommendations only work if the legal boundaries are right.

Part I covers legal considerations when a brand and its retailers compete on the platform. Part II is a summary checklist of other legal questions to settle before launch and as the operating model evolves.

THIS APPENDIX COVERS UK AND EU LAW. IT IS GENERAL INFORMATION, NOT LEGAL ADVICE.

From content to checkout

TikTok Shop brings content, creator influence, advertising, marketplace selling, retail strategy and data into a single customer journey. A post can create demand, make claims, trigger a sale, allocate commission and generate data in seconds. The resulting legal questions are familiar in isolation, but their convergence, and the speed at which activity unfolds, creates new complexity for brands, commercial partners and regulators.

As discussed in *Following the Value*, the first question is what role TikTok should play in a brand's distribution strategy. Is it a direct sales channel, a customer-acquisition engine, a launch platform, a demand-generation tool for retailers, a brand-building platform, or some combination of these? That choice affects channel design, retailer relationships, wholesale pricing architecture and who is responsible for sales, marketing and customer service.

Part I of this appendix covers the distribution and competition law questions this raises, particularly where the brand and its retailers both sell on TikTok Shop. Part II provides a practical checklist of other key legal considerations to help brands manage risk when structuring their participation on TikTok Shop, allocating responsibility and protecting long-term brand equity.

Part I

Distribution and competition law

Chapter 4 of *Following the Value* sets out the commercial context where a brand's retailers begin selling on TikTok Shop, sometimes alongside, and in competition with, the brand's own Shop. This section considers the legal implications of that dynamic.

Evolving legal principles, new commercial challenges

The UK and EU vertical competition law frameworks were both updated in 2022 to address developments in ecommerce and online marketplaces. Those reforms, however, were not designed with new social-commerce models such as TikTok Shop in mind, which bring together media, influencer marketing, direct-to-consumer sales, retail distribution, marketplace activity and affiliate marketing. Applying competition law principles in this environment can therefore be particularly complex for brands and their commercial partners, especially as areas such as marketplace restrictions, online distribution controls and dual-distribution arrangements remain subject to evolving guidance, enforcement decisions and market practice. TikTok does not replace those questions; it often magnifies them by combining content, commerce, distribution and data within a single ecosystem.

Key competition law considerations that brands should keep in mind when developing their TikTok strategy, measuring performance (including the wider halo effect of brand investment in content and TikTok Shop activations across retailers' TikTok Shops and other retail channels) and managing retailer relationships include the following.

Dual-distribution risk

Where a brand sells directly through TikTok Shop while also supplying retailers that sell the same products on the platform (or through other channels), a "dual-distribution" relationship arises: the brand and retailer operate as supplier and customer at one level, but also compete for consumers downstream.

Whilst UK and EU competition law provide automatic legal exemption for most dual-distribution arrangements, including information exchanged between the brand and its retailer, that safe harbour is not unlimited: it applies only where the information is both directly related to implementing the vertical supply agreement between the parties and necessary to improve the production or distribution of the relevant products. In practical terms, this is a "need to know" test: the parties may share what they genuinely need to operate the supply relationship, but not information about their independent downstream competitive strategies that could lead to a reduction in competition or alignment of competitive behaviour, such as pricing or the timing of promotions.

At the same time, certain information may legitimately be needed to assess the return on the brand's investment in TikTok Shop, measure the wider halo effect of its content and activation strategy, attribute value across different channels, identify GhostGMV or support a fair allocation of costs.

Thus in the context of TikTok Shop, data collection, exchanges and usage should be considered and carefully handled having regard to the potential sensitivity of the data. In practice, whilst each case is fact-specific, brands can seek to address these challenges through a combination of governance, process and measurement protocols and safeguards, including:

- **Defining the commercial objective.** Before requesting data, brands should identify what they are actually trying to measure, whether that is customer acquisition, brand awareness, retail sell-through, launch acceleration, reorder rates or overall incrementality. The objective should determine the information required, rather than starting with the broadest possible dataset.
- **Data minimisation and purpose limitation.** Only information objectively necessary to answer the relevant commercial question should be collected or shared. In many cases, the answer can be obtained without visibility of retailer-specific performance data.

- **Identifying data sensitivity.** A lot of useful data may be non-sensitive from a competition standpoint. Identifying the commercial purpose, and so the information necessary, will enable the brand and its advisers to identify appropriate treatment of different information categories.
- **Separating DTC and retailer-facing teams.** Some businesses are introducing greater separation between personnel responsible for direct-to-consumer strategy and sales and those responsible for retailer relationships, reducing the risk that retailer information influences downstream competitive decision-making or that competitive DTC information is flowed down to competing customers.
- **Clean-team arrangements.** Potentially sensitive data, where required, can be restricted to designated legal, finance, analytics or strategy personnel who are insulated from day-to-day pricing, promotional and commercial decisions.
- **Aggregated, historical or cohort-based reporting.** Reporting data at an appropriately aggregated level, after a suitable time lag or by reference to broader customer or product cohorts can provide commercially useful insight without revealing current, retailer-specific pricing, sales or promotional strategies.
- **Independent third party advisers.** An emerging solution is the appointment of an independent measurement, analytics, or commercial advisor that can review and analyse granular retailer, platform and brand data behind the scenes and report only agreed conclusions, metrics or recommendations in a desensitised form. This allows the brand to understand, for example, whether TikTok activity is generating incremental value without requiring access to underlying competitively sensitive data itself. It also keeps brand—retailer discussions focused on the supply relationship and lawful brand-building investment, rather than either party's downstream pricing or competitive strategy.

Unauthorised resellers and access to the platform

Brands may also face challenges from resellers alleging that they have been improperly or unlawfully excluded from what they consider an increasingly important route to market. The legal position will depend on a range of factors, including:

- The brand's and its retailers' market positions, which may affect the availability of certain legal exemptions and the degree of flexibility available under competition law.
- The broader distribution model, including whether the brand operates an open distribution network, selective distribution system, exclusivity model, agency structure or fulfilment arrangement.
- The basis for limiting access, such as objective selection criteria or a contractual online marketplace restriction (areas that continue to develop even outside the context of social commerce).

Resale price maintenance

Resale price maintenance remains a significant enforcement priority for regulators. Particular care may be required where brands, retailers, creators and platforms are all involved in promotions, platform vouchers, affiliate incentives, discount campaigns and other pricing-related activities. These arrangements can create risk if the brand directly or indirectly sets, pressures or incentivises retailers to maintain a fixed or minimum resale price, including by limiting their ability to fund discounts or linking commercial benefits to adherence to "recommended" prices. Brands should therefore distinguish carefully between lawful recommended or maximum prices and measures that could, in practice, restrict a retailer's freedom to determine its own resale price.

Part II

Other legal considerations

TikTok Shop brings together advertising, creators, transactions, data and fulfilment. The checklist below highlights the other key legal issues brands should address to manage risk before launch, and as the operating model evolves, including by ensuring that responsibility is clearly allocated across the brand, TikTok, creators, affiliates and retail partners.

- **Creator and affiliate governance.** Identify who appoints, instructs and monitors creators; require clear advertising and affiliate disclosures; approve and substantiate claims; and establish rapid correction, takedown and escalation procedures. Creator arrangements should also address authority, conduct, payment, tax and employment or agency status where relevant.
- **Advertising, claims and promotions.** Assess the overall impression created by demonstrations, testimonials, before-and-after content and live selling. Health, performance and environmental claims require particular care. Reference prices, discounts, platform-funded vouchers, countdowns, scarcity messages and personalised offers should be accurate, transparent and not place consumers under inappropriate pressure.
- **Content and intellectual property.** Secure appropriate ownership or licences for creator and user-generated content, music, images, video, graphics and third-party brands. Agreements should cover channels, territories, duration, editing, retailer use, paid amplification and use after the relationship ends; payment alone does not confer unrestricted reuse rights.
- **Seller, platform and contractual responsibility.** Identify the seller of record and ensure that contracts, checkout design and consumer-facing information align. Allocate responsibility for product information, orders, payments, fulfilment, customer service, complaints, refunds, regulatory compliance and liability, recognising that contractual labels may not determine the legal outcome.

- **Consumer rights and sales mechanics.** Confirm the pre-contract information, transparent pricing, cancellation, return, refund and complaint rules applicable to flash sales, product drops, live shopping, bidding or auction-style formats. Interface design should not obscure material information or create false urgency.
- **Product safety and sector regulation.** Map responsibility for product compliance, responsible-person requirements, traceability, warnings, incident reporting, recalls and regulator engagement. Apply any additional rules relevant to the product category, including cosmetics, health, food, supplements, electrical goods or products intended for children.
- **Counterfeits and unauthorised content.** Maintain a process to monitor listings, preserve evidence, submit takedowns, escalate urgent safety concerns and identify repeat sellers or accounts. Enforcement may engage intellectual property, consumer-protection and product-safety rules.
- **Data, privacy and cybersecurity.** Define what personal and commercial data is needed and for what purpose. Confirm lawful bases, transparency, profiling and marketing rules, international transfers, retention, access controls and responsibility for security, deletion, data-subject requests and incidents. Contractual roles should reflect what each party does in practice.
- **Cross-border, tax and customs.** Assess where sales are made, where products and data move, and which entity bears responsibility for VAT, duties, customs, sanctions, export controls and local consumer or product rules.
- **Records, monitoring and governance.** Preserve evidence of content, claims, approvals, disclosures, transactions and complaints, including live or disappearing material. Apply consistent standards across the brand's shop, creators and retail partners, with clear ownership, training, monitoring and escalation. Governance should be proportionate to the operating model and support a test-and-learn approach: define success, document key decisions and address issues quickly without losing control of the brand or accepting undue exposure.

Endnotes

Editorial note: Conversations are unattributed. Contributors are acknowledged at the end, with their agreement.

1 Sources and methodology. This report draws on industry interviews and working sessions, independently commissioned research, third-party market datasets, published company cases and commercial diagnostics. Interviews are qualitative evidence, not a representative survey of the industry. The anonymised product diagnostics combine TikTok Shop export data with a contribution model; contribution is modelled before fixed overheads, not audited profit. Third-party figures cover different markets, categories and periods, and should not be treated as a single comparable dataset. See Sources and methodology, page 63.

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Sources and methodology

Research basis

Following the Value brings together industry interviews and working sessions, independently commissioned research, third-party market datasets, published company cases and commercial diagnostics. Interviews and working sessions inform the qualitative analysis but are not a representative industry survey, and are not used to estimate industry-wide cost trends. Quantitative observations on video activity and sales productivity are drawn separately from Charm.io's TikTok Shop dataset. Private conversations are unattributed unless a public source or an agreed named contribution is identified.

External research and original analysis

Market size, retailer rankings, shopper profiles and category trends are attributed to their providers. These sources cover different markets, categories and periods, and use different measurement approaches; their figures should not be treated as a single comparable dataset.

Next10 Labs' original contribution includes the GhostGMV concept, the margin, velocity and materiality framework, and its commercial analysis of product and offer economics, reporting gaps, retailer incentives and investment decisions. Frameworks and illustrative scenarios express that analysis rather than findings from a separate statistical study. The framework develops the Margin—Velocity Matrix first published in *Margin Mastery*, Episode 1: Beyond the Hero (The Brand Playbook, August 2025).

Commercial diagnostics and business cases

The anonymised product diagnostics combine TikTok Shop export data for the last 30 days (July 2026) with a contribution model. Sales, orders and advertising metrics are reported platform measures. Contribution is modelled before fixed overheads, not audited profit. It applies the following assumptions to each product: product cost at 20% of selling price; platform commission at 9%; platform promotions at 4%; sampling at 5% of sales; returns at 5%; fulfilment at $3.50 per order; and creator commission at 12%, applied to each product's share of affiliate sales. Advertising metrics use TikTok's 7-day attribution window, while sales and orders cover 30 days, so advertising cost per order is approximate. Results depend on confirming costs with each business. Product comparisons describe the records analysed; they do not establish that changing an offer caused the difference.

Break-even ROAS is the reported ROAS at which advertising spend would use up everything left after a product's other selling costs. It is calculated on the same basis as TikTok's reported GMV Max ROI, so it can be compared directly with the platform's figure. For the bestseller in Exhibit 2.3, about $2.49 per order remained before advertising, against $2.64 of advertising spend per order. That gives a break-even of about 4.1x, against a reported 3.9x.

In the margin, velocity and materiality view (Exhibit 6.2), an offer counts as fast-selling above 500 orders in the period, and as high-margin above 15% contribution margin after marketing. Both thresholds should be set to the scale of the business.

Returns and forecasts

GMV measures reported merchandise value, not the profit retained by the business. ROAS compares attributed or estimated sales with advertising spend and does not, on its own, capture the full cost of selling. The retailer measurement case describes a provider's marketing mix model and subsequent geographic test, not a study conducted by Next10 Labs. Modelled returns and spending forecasts depend on assumptions and need testing against outcomes. Launch plans and assumed halo multipliers are forecasts, not realised returns.

Limits and interpretation

Examples are selected to illuminate commercial decisions, not to estimate how often an outcome occurs. Platform and provider estimates, company statements and interview accounts have different evidential limits. Before-and-after patterns and cross-channel associations do not alone establish incrementality. A customer new to a Shop may already buy the brand elsewhere. Anonymisation limits the detail that can be published. Confidential records are not reproduced. The legal appendix is a separately attributed contribution covering UK and EU law; it provides general information, not legal advice.

Back matter

Glossary

Affiliate. A creator or other partner who promotes a seller's listing and earns commission on attributed sales.

Agentic commerce. Shopping in which AI systems assist with discovery, comparison or purchase on a customer's behalf.

Attribution. The rules or models used to assign credit for a sale to particular marketing activity or touchpoints.

Baseline. The reference level of activity or sales against which a change is assessed.

Brand equity. The familiarity, trust and desirability that influence whether customers choose the brand over time.

Break-even ROAS. The ROAS at which advertising spend uses up everything left after a product's other selling costs. Below it, each additional order loses money.

Cannibalisation. Sales gained through one product, offer or channel at the expense of sales the business would otherwise have made.

Clean team. Designated personnel permitted to analyse sensitive information while insulated from relevant day-to-day competitive decisions.

Contribution and contribution margin. Sales remaining after the costs included in the analysis. Contribution margin expresses that amount as a share of sales; here it is before fixed overheads. Contribution after all selling costs, including marketing, is what investors often call CM3: the closest measure to unit-level EBITDA.

COGS. Cost of goods sold: what it costs to make or buy a product and get it into stock, before it is sold.

DTC. Direct to consumer: sales made by a brand directly to customers rather than through a retail partner.

Dual distribution. A supplier sells directly to consumers while also supplying retailers with whom it competes downstream.

EPOS. Electronic point of sale: transaction records generated by a retailer's checkout systems.

GhostGMV. The report's term for reported Shop sales that deliver less value than they appear to, through weak economics or sales that would have happened anyway.

GMV. Gross merchandise value: the value of merchandise transactions reported by a platform or provider. Treatment of discounts, subsidies, returns and cancellations can differ.

GMV Max. TikTok's automated Shop advertising product. Its reporting includes qualifying organic and affiliate orders as well as paid orders, so reported ROI is not advertising-only effectiveness.

Halo. Incremental value created by TikTok activity but recorded elsewhere, such as the brand's website, Amazon or physical retail.

Incrementality. The additional outcome caused by an activity, compared with what would have happened without it.

JBP. Joint business plan: the brand and retailer's commercial plan for activity, commitments and investment.

Lifetime value. The value a customer generates over the relationship. Projected repeat revenue is distinct from demonstrated contribution and payback.

LIVE. Real-time livestreaming through which presenters demonstrate products, answer questions and offer products for purchase.

Margin, velocity and materiality (MVM). The report's range diagnostic. Each offer is placed by contribution margin after marketing and by orders, and sized by sales. Its four positions are true hero, workhorse, potential gold, and stop or prove.

Materiality. The financial significance of a product or activity within the business; the range chart represents it through GMV.

MMM. Marketing mix modelling: statistical analysis of sales, marketing activity and other factors to estimate marketing's contribution and how returns may change.

Resale price maintenance. Conduct that fixes or restricts a retailer's minimum resale price, directly or indirectly. Recommended prices require care if used to constrain independent pricing.

Retail media. Advertising or promotional activity sold by a retailer across its own or associated customer touchpoints.

ROAS. Return on ad spend: sales attributed to, or estimated to result from, advertising divided by advertising spend. It is not a profit measure. On TikTok Shop, GMV Max reports this measure as ROI.

Sampling. Free product sent to creators to generate content. It is a cost of selling incurred before any sale is made.

Sell-through. Sales from the retailer to the end customer, distinct from the brand's wholesale sales into the retailer.

SKU. Stock keeping unit: an identifiable product or offer used to track sales, stock and economics.

Velocity. The rate at which an offer sells. The range diagnostic uses orders over the reported thirty-day period.

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Research and data sources are credited in the exhibits and references. Acknowledgement or citation does not imply endorsement of the report's analysis or conclusions. Responsibility for the analysis rests with Next10 Labs.

Help shape the next edition

This is the first edition of *Following the Value*. If you hold evidence that would test its conclusions, or a question you'd like the next edition to answer, write to us at hello@next10labs.ai. To receive the next edition, sign up at next10labs.ai.

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